Pavement Livelihoods:

An Analysis of Street Vendor Livelihoods in Beijing, China Using the Sustainable Livelihoods Approach

Xing CHIU
KU Leuven Faculty of Science 2014-2015

Thesis presented in fulfillment of the requirements for the degree of Master of Science in Sustainable Territorial Development.

Supervisor: Prof. Chris Kesteloot
KU Leuven

Co-Supervisor: Prof. Alessio Surian
University of Padova

This Masters dissertation has been completed as part of the Eramus Mundus Masters in Sustainable Territorial Development, a joint program of the University of Padova, KU Leuven, Université de Paris 1 – Panthéon-Sorbonne, and the Universidade Catolica Dom Bosco. The Master's candidate, Xing Chiu, completed one semester each at the first three institutions, as well as pursued an internship at the UNESCO Office in Beijing from March 2-June 17, 2015 to fulfill the requirements for this Masters program.

Summary

Informal employment represents a substantial portion of the labour market and is a growing percentage of overall economic activity in many developing countries around the world. In China, the growth of the urban informal economy can be largely attributed to the influx of rural migrants into cities over the past four decades.

One of the most prevalent forms of informal employment in Chinese cities is street vending. Although street vending dates back centuries, it is an occupation that is growing in complexity in modern-day China. How this growing informal practice is and should be managed by the State has become a contentious issue. Almost all cities in China have Urban Law Enforcement Officers (*chengguan)* tasked with laying down the law on the streets, and as one of their main duties, dealing with street vendors who are regarded by the State as an eyesore, disturbance to traffic, and hindrance to overall cleanliness and urban order. Recently, there has been increasing media coverage and scholarly work published about *chengguan* management of street vendors, focusing on the latter's rights to sell in the city.

Few studies, however, have been conducted about Chinese street vendors themselves and their livelihoods. This research contributes to filling that paucity by focusing on the livelihoods of street vendors in Beijing using the *Sustainable Livelihoods Approach*, a framework that allows for analysis of the livelihood assets, strategies, and outcomes of the street vendors, and how they are affected by current territorial policies, institutions, and processes. Understanding some of the characteristics and experiences of present-day street vendors, as well as the challenges and opportunities they face, allows for informed recommendations of policies and actions that can lead to greater livelihood sustainability of the individuals and their families, as well as a more socially sustainable society as a whole.

Résumé

L'emploi informel représente une part importante du marché du travail et constitue un pourcentage croissant de l'activité économique globale dans de nombreux pays en développement à travers le monde. En Chine, la croissance de l'économie informelle urbaine est largement attribuée à l'afflux de migrants ruraux dans les villes au cours des quatre dernières décennies.

Une des formes les plus répandues de l'emploi informel dans les villes chinoises est la vente ambulante. Bien que la vente de rue remonte à plusieurs siècles, c'est une profession qui gagne en complexité dans la Chine moderne. Comment cette activité devrait être gérée par l'État est devenu une question controversée. Presque toutes les villes en Chine ont un Bureau de l'Administration d'Affaires Urbaines avec des agents (appelés les chengguan) chargés d'importants pouvoirs policiers comme la responsabilité d'assurer le bon ordre, la sécurité et la salubrité publique. Une de leurs principales fonctions est de gérer les vendeurs ambulants qui sont considérés par l'État comme une pollution visuelle, et une perturbation de la circulation et de l'ordre urbain. Récemment, il y a eu une augmentation de la couverture médiatique et des travaux d'érudition publiés au sujet de la gestion des vendeurs par les chengguan, particulièrement à propos des droits de ventes des vendeurs ambulants dans les villes.

Peu d'études ont toutefois été menées sur les vendeurs de rues Chinois et leurs moyens de subsistance. Cette recherche contribue à combler ce manque en se penchant sur les moyens de subsistance des vendeurs ambulants à Pékin, en utilisant l'Approche des Moyens de Subsistance Durable. Ce cadre permet d'analyser les actifs, les stratégies et les résultats de subsistances des vendeurs, et aussi comment ces derniers sont affectés par les politiques, les institutions et les processus territoriaux. Comprendre certaines des caractéristiques des vendeurs de rue et leurs expériences , ainsi que les défis et les opportunités qui se présentent à eux, permet d'offrir des recommandations éclairées sur les politiques et les actions à entreprendre qui pourront contribuer à améliorer les moyens d'existence des individus et de leurs familles, ainsi qu'à construire une société plus socialement durable.

Acknowledgements

Pursuing this Masters degree and conducting research in China would not have been possible without the support of my amazing parents, Ping and Tim Chiu, who have provided me with countless opportunities to learn, travel, and experience all the wonderful adventures that I have had through the years. The chance to pursue studies and internships abroad is a real privilege, and one which I am sincerely grateful for.

A huge thank you also to my sister, Wengsi, my colleagues at the UNESCO Office in Beijing, and my friends for all your moral support, advice, and encouragement throughout the research and writing processes of this report. I would especially like to recognize my Beijing housemate, Lin YuXing, for having accompanied me during some of my fieldwork.

Further, I would like to thank my thesis supervisors, Professors Chris Kesteloot (KU Leuven) and Alessio Surian (University of Padova) for their academic support in completing this Master's dissertation.

And last but certainly not least I would like to acknowledge all the street vendors and other individuals who took the time to share their life experiences with me for this study. I learned so much in a very short time about the lives of some very courageous, hardworking, and generous individuals who have demonstrated the power of perseverance, love, and finding meaning in whatever you do. I will always keep you and all that you have taught me close to my heart.

Thank you!

Xing

List of Tables & Figures

Table 1.1: Number of people employed by the informal economy in China

Figure 1.1: Location of Beijing in China
Figure 3.1: DFID's SLA Framework
Figure 5.1: Location of street vendors interviewed for this study in the city of Beijing, China
Figure 5.2: Interview responses for reasons for street vending (pie chart)
Figure 5.3: Inside the home of a street vendor interviewed (photo)
Figure 5.4: Beijing Air Pollution (graphic)
Figure 6.1: Sectoral Employment in China from 1962-2012 (graphic)
Figure 7.1: Back gate of Urban Management Authority Office (photo)
Figure 9.1: Sustainable Livelihoods Approach Analysis of Street Vendors in Beijing (graphic)
Figure 9.2: Distorted hexagons showing changes in livelihood assets (graphic)

Abbreviations

CCP	Chinese Communist Party
DFID	British Department for International Development
GDP	Gross Domestic Product
ILO	International Labour Organization
NPC	National People's Congress
OECD	Organization of Economic Cooperation and Development
PIP	Policies, Institutions, and Processes
PRC	People's Republic of China
SLA	Sustainable Livelihoods Approach
UNDP	United Nations Development Programme

Glossary of Chinese Terms Used

chengguan	Chinese Urban Management Authority Officials in charge of managing street vendors, among other duties
chengzhongcun	Former villages encapsulated in the city, which have become migrant enclaves
Didi Kuaidi	A Chinese private-taxi service company
Hukou	Urban household registry that all Chinese citizens
liudong renkou	"Floating population", rural workers who have migrated to cities for work
meiyouwenhua	Uneducated
mingong	Migrant worker

Table of Contents

Summary III
Résumé IV
Acknowledgements V
List of Tables & Figures, Abbreviations and Glossary of Chinese Terms Used VI

Chapter 1: An Introduction to Street Vending in China
1.1 Introduction - Informal economy and street vending in the global context 1
1.2 Informal economy & Street Vending Defined 2
1.3 Study Area Context – Beijing, China 3
1.4 Brief Introduction to Internal Migration, Urban Citizenship & the *Hukou* in China 5
1.5 The informal economy and a history of street vending in China 6
1.6 Street vending in China in modern times 9

Chapter 2: The Research
2.1 Research Objectives 11
2.2 Research Questions 11
2.3 Significance of study & Review of Literature on street vending in China 11
2.4 Organization of paper 13

Chapter 3: The Sustainable Livelihoods Approach
3.1 Sustainable Livelihoods Approach (SLA) Explained 14
3.2 SLA in the Urban Context 20
3.3 Why is the SLA relevant for analyzing this subject? 21

Chapter 4: Research Methodology
4.1 Research methodology and design 22
4.2 Limits of the research & challenges in the field 26

Chapter 5: Street Vendors in Beijing – Research Results
5.1 Street vendors in Beijing: Who are they? 28
5.2 Applying the SLA: Livelihood assets of Beijing Street Vendors 32

Chapter 6: Policies, Institutions, and Processes Affecting Street Vendors
6.1 Policies, Institutions, and Processes (PIPs) in China that affect vendors and rights of vendors to access livelihood assets 40

Chapter 7: Street Vendor Livelihood Strategies
7.1 Livelihood strategies of Beijing Street Vendors 51

Chapter 8: Street Vendor Livelihood Outcomes
8.1 Livelihood outcomes of Beijing Street Vendors 59

Chapter 9: Summary of Findings and Concluding Remarks
9.1 SLA Applied to street vendors in Beijing 62
9.2 Lessons learned and recommendations 65
9.3 Subjects for further research 67
9.4 Concluding remarks 67

Bibliography 69

1 An Introduction to Street Vending in China

1.1 Introduction - The Informal Economy & Street Vending in the global context

Informality is one of the most significant issues facing cities in the 21st century, and presents one of the key challenges to urban policy makers (Porter, 2011). A growing number of urban populations around the world, particularly in developing and emerging countries, are making their living from informal economic activities and settling in informal communities (ILO, 2002).

In many countries, China included, the informal economy makes up a larger proportion of employment than the formal. According to the International Labour Organization (ILO), in 2013, regional estimates on informality revealed that informal labour stood at 82% in south Asia; 65% in sub-Saharan Africa; 45% in the Middle East and North Africa; and 51% in Latin America (ILO, 2013). In 2009, 60% of all urban employment in China was informal (Huang, 2009). Informal employment offers a great opportunity for livelihood sustenance and upward economic mobility for the urban poor who oftentimes cannot obtain work in the formal economy for reasons such as lack of skills and training, education, social connections, and legal access to obtain formal jobs, as well as lack of formal jobs available.

It is important to note that informal employment is not synonymous with poverty. In some places around the world, the informal economy also includes small-scale entrepreneurs who are not poor and have a large capacity for innovation and potential to grow (Huitfeldt et al., 2009). In some cases, informal work may also lead to higher profits than those found in the formal economy. However, informal workers around the world normally have a significant disadvantage when compared with workers in the formal industry in that they often lack social security, adequate occupational health and safety conditions, and job security among other things. Also, for most, informal employment is the only available option and acts as a last resort for people excluded from the formal labour market; and indeed, a strong link exists between informality and poverty (ibid).

As one of the most prevalent forms of informal urban economic activity worldwide, street vending is a particular issue of concern for policy makers, governments, and civil society worldwide. It has also gained the attention of the ILO and academics. Scholarly interest in street vending has arisen mainly from the fact that an increasing proportion of the urban poor,

and namely rural-urban migrants, turn to informality to sustain their livelihoods while suffering uncertain and mostly hostile state regulation (Donovan, 2008 cited in Xue et al., 2015).

1.2 The Informal Economy and Street Vending Defined

The Informal Economy

Anthropologist Geertz asserted in his famous 1963 study *Peddlers and Princes* that street vendors and markets were products of pre-modern societies and would eventually disappear as modern market economies became established in the developing world. This assumption was significantly challenged in 1972 when the International Labour Organization (ILO) reported that informal activities in fact played an important role in economic development and went as far as identifying informal employment as something other than unemployment. Since then, there has been a surge of academic research done and written about the informal economy. Typically, scholarship on this topic has rejected the binary concept of 'formal' versus 'informal' economies, highlighting the fuzziness, interdependency, and cross-cutting nature of economic activities between the two (Moser, 1978 cited in Bell et al, 2014).

For most scholars, the most common distinctive difference has to do with regulation. Castells and Portes (1989) define the informal economy as "a process of income generation ...unregulated institutions of society, in a legal and social environment in which similar activities are regulated." The authors further assert that categorically the informal economy is neither specific to the marginalized urban poor nor separate from the formal economy. Peruvian Economist Hernando De Soto (1989) saw the informal economy as being made up of 'plucky' small entrepreneurs, operating informally to avoid the cost, time, and effort of formal regulation. De Soto drew attention to the negative impact that the regulatory environment had on street vendors, arguing that the proliferation of the sector was the result of unreasonable government rules, which forced small entrepreneurs to operate informally, and hence argued for deregulation policies.

Some authors go even further and argue that, contrary to Castells and Portes view of characterizing informality with the lack of state regulation, informality is in fact *produced* by the state. This perspective asserts that there is no pre-defined boundary between formal and informal practices. Instead, the declaration of what is formal and informal, as well as whether an informal practice is tolerable and should be allowed or is intolerable and should be prohibited is the prerogative of state authorities (Xue et al., 2015).

While there are good cases to support the latter perspectives, for the purpose of this study, Castells and Portes' (1989) commonplace view on informality will be considered in order to have a clear and useable definition of the type of work being discussed.

Street Vending Defined

Since differentiating between street vending and other forms of informal or semi-formal activities on the street is difficult, so too is coming up with a clear definition of street vending. In the framework of this study, Castells and Portes' (1989) definition of street vending –"selling legal goods in a mobile shop without paying for permission from the municipality" – will be used. This definition suggests that those selling illegal goods (like drugs) are excluded from the scope of this study. It also disregards immobile vendors, such as those attached to the shops of friends or family, as well as vendors that always sell in the same place without being able to move quickly, such as vendors in fixed night markets. In line with this definition and common to all the informants in this research is the operation of their business outside the authority of the state and thus being at constant risk of control by urban authorities. Castell and Portes' definition of street vending is one which adequately captures the variety and scope of this economic activity.

It is further important to note that solely considering vendors who sell tangible products would be limiting, as those who offer services like mobile phone screen reinforcing are important vendors who would be excluded. As such, both vendors selling products and offering services are considered for this study, despite the large majority of the vendors interviewed of the first category.

1.3 Study Area Context: Beijing, China

China

The People's Republic of China is the world's most populous country with approximately 1.37 billion inhabitants (CIA, 2015). It is a sovereign, single-party state in East Asia presently governed by the Chinese Communist Party (CCP). The country is made up of 22 provinces, five autonomous regions, four direct-controlled municipalities, and two self-governing special administrative regions. The country's history stretches back over two thousand years, during which time it has seen cycles of great prosperity and decline.

After a period of low productivity and slow technological development from the establishment of the People's Republic of China (PRC) in 1949 until the 1970s, introduction of economic reforms

in 1978 has turned China into one of the world's fastest growing economies. As of 2014, it was the world's second largest economy by nominal GDP and largest by purchasing power parity, as well as the largest exporter and second-largest importer of goods (ibid).

Figure 1.1: Location of Beijing in China

Source: Map of China. Perry-Castañeda Library Map Collection at the University of Texas. Accessed from http://www.lib.utexas.edu/maps/china.html

Beijing

With a population of 21,516,000 (2014) people (Beijing Government, 2014), Beijing is China's second largest city by urban population after Shanghai and one of the most populous in the world. As the nation's capital city, Beijing is China's political, as well as a cultural and educational center with many of the country's ancient sites and top academic institutions located within its limits. It is also home of the headquarters of many of China's largest state-owned enterprises, and is a major hub for the national highway, railway, and high-speed rail networks.

Beijing's municipal government, presently led by Mayor Wang Anshun and nine Vice-Mayors, is regulated by the local Communist Party of China. Twenty departments within the municipal government focus on matters including urban planning, law, education, and justice. As China's capital city, Beijing is also home to important national political institutions, namely the People's National Congress (NPC). The city's economy is among the most prosperous in China. In 2013, the municipality's nominal gross domestic product (GDP) was 1.95 trillion RMB (US$314 billion),

making up approximately 3.43% of the country's total output, which ranks it 13th amongst province-level administrative units (Beijing Government, 2013). The Municipality of Beijing is made up of 16 administrative, county-level divisions, 14 urban districts and two rural counties.

Beijing's population has been growing at unprecedented rates in the past few decades. In 2004, the city's population was 14,213,000, a number which increased by 7,303,000 as of 2014 (Beijing Government, 2014). The city's rapid population growth over the past decade has mainly been driven by large waves of internal rural-urban migration, fueled by economic and administrative reforms beginning at the end of the 1970s. Despite efforts to control its population, Beijing will likely continue to follow the trend of urbanization over the next decades.

1.4 Rural-Urban Migration and Urban Citizenship in China

As mentioned, China has been undergoing a process of rapid social and economic change since the 1980s – comparable to the industrial revolution that happened in Europe, but squeezed into a few decades. One of the most significant manifestations of and forces fuelling the country's development has been a huge surge in internal migration from the countryside to urban areas. Indeed, the country's rapid economic growth has been closely intertwined with an unprecedented pace of urbanization. China's urban population share grew from 19% in 1980 to 47% in 2010 to 53% in 2014, and is projected to exceed 65% in 2030 (Pan et al., 2010). The massive waves of rural migration into the cities in the post-Maoist period – roughly 300 million people in a span of 20 years – has been possible by economic reform and relaxed administrative control. Migrants now represent between 15 and 17 percent of the total Chinese population, and in cities like Shanghai and Beijing they account for about a third of the total urban population (Chan, 2010).

In China, urban citizenship is built upon an institution known as the household registration or *hukou* system. In simple terms, all Chinese citizens are assigned a permanent place of registration and a status. One important consequence of *hukou* status is that it determines one's level of, and access to, social benefits and entitlements. Urban *hukou*s are associated with urban citizenship and provide access to high quality social benefits such as education and healthcare, along with full entitlements including retirement and unemployment insurance. In contrast, rural *hukou*s include fewer entitlements and lower quality social benefits. This system was consolidated in the early Maoist period when almost 80 percent of the population lived in rural areas; hence they were assigned rural *hukou*s. During this time, it became a powerful tool used by the Chinese Communist Party to limit population mobility and organize both production and redistribution in the centrally planned economy (Wang, 2005).

In the post-Maoist period, economic reform and relaxed administrative controls have made it possible for peasants to leave their land and migrate to the cities. A large majority of these rural migrants have moved, either temporarily or long-term, away from their registered place of residence to find work, most of them without transferring their official residence registration (*hukou*). They belong to what is deemed China's 'floating population' (*liudong renkou*), which numbers approximately 250 million at present (Swider, 2014).

In most cases, these migrants live in the city as second-class citizens because the vast majority is denied urban *hukou*s and associated citizenship rights. Lack of 'urban citizenship' inhibits migrants from accessing public goods like education, housing, and healthcare (Chan and Zhang, 1999) and they are also generally denied entitlements like basic minimum living allowance, unemployment insurance, and retirement pensions (Golley et al., 2011, Liu, 2007). Beijing denied access to housing subsidies and to low-cost public housing in the cities, many migrants are forced into informal and tenuous arrangements such as onsite dormitories, accommodations in the basements and back rooms of buildings where they work, makeshift shelter in hidden public spaces, and high density rental housing in enclaves. These enclaves or *chengzhongcun* are essentially villages encapsulated by the city's growth, but where the village collective retains control over the land. Since the villagers who originally resided in these villages have lost their agricultural land, they often choose to live more densely and earn a living by renting to the rural migrants. Cities like Beijing also restrict migrants from obtaining certain jobs and professions, and it is difficult, if not impossible, for migrants to register their own business without partnering with locals (He, 2005). This forces many of them to live, work, and exist in informal spaces outside of the umbrella of the state.

1.5 The Informal Economy and A History of Street Vending in China

Informal Economy in China

China has experienced rapid growth of urban informal employment with its process of market-oriented development beginning in the 1980s. From 1990 to 2010, the proportion of urban informal employment of total urban employment expanded from 13.6% to 32.8%, a net increase of 90.7 million people (Xue et al., 2015). As *Table 1.1* illustrates, the number of informally employed individuals reached nearly 114 million in 2010, amounting to almost half of those formally employed (ibid).

Table 1.1: Number of people employed by the informal economy in urban China. *Source:* National Statistics Bureau (1991, 2011) from Xue et al. (2015, p. 159).

Types of Economy	1990		2010	
	Number (in millions)	Proportion (%)	Number (in millions)	Proportion (%)
Total	170.41	100	246.87	100
Formal	147.28	86.4	233.03	67.2
Informal	23.13	13.6	113.84	32.8

Indeed, informal employment appears to represent a substantial portion of both the labour market and China's economy and signifies a growing percentage of overall economic activity. Much of the growth of the informal economy in China can be attributed to the influx of rural migrants in cities. Although other historical reasons for the expansion of the informal economy include massive layoffs of state and collective enterprise employees in the mid-late 1990s, as well as the rapid rise of informal private enterprises and informally self-employed individuals from the early 1990s onwards (Huang, 2009).

Brief History of Street Vending in China

This section will provide a brief history of street vending, and namely the Chinese Communist Party's stance and relation with street vendors from the victory of the People's Liberation Army in 1949 to present day.

Upon coming to power in 1949, the CCP imposed a ban on all unregistered street vendors, peddlers, and beggars. At the time, there were approximately 50,000 street vendors in Beijing and city managers, wanting to set up disciplined and efficient production and clear impoverished outsiders from their thoroughfares, attempted to rid such people (Solinger, 2013). Despite being chased out, the urban poor tended to return. While clearing sidewalks of poor people was an objective of the new regime, the Party's grander goal of obtaining full control over the economy and accomplishing the "socialist transformation of industry and commerce" would not occur until mid 1950s. Between 1952 and 1956, periodic attempts were made to control even the smallest-scale business people with the objective of attaining total state ownership of the nation's economy (ibid), a necessary condition for running a planned economy. In the "Great Leap Forward" of 1958-60, restriction against commercial activity became ever more stringent. During that time, all private enterprises were eliminated, including the smallest street traders.

From the massive failure of the “Great Leap” project and the widespread devastation and starvation that it brought to the country emerged prominent leaders within the CCP like Liu Xiaoqi and Deng Xiaoping, whose chief objectives was to reboot the economy and restore production. A new policy of “readjustment, consolidation, filling out and improvement” and decentralization of management in the people’s commune was adopted at the 9th Plenum of the Eighth Party Central Committee held in January 1961 (Solinger, 2013). This permitted small business owners and independent traders to reinstate their operations and saw the reemergence of many street vendors. In 1962, there were over 30,000 small merchants and peddlers in Nanjing and 50,000 in Guangzhou (ibid). The growing number of small businesses and corruption they seemingly fostered, along with other policies in China (such as the *household responsibility system,* which permitted peasants to earn money by selling goods produced beyond their quota) soon struck fear of the return to a capitalist society, particularly in the mind of Party Chairman, Mao Zedong. He reacted by waging a “socialist education campaign” in 1963 to keep the market and society under control. Three years later, taking his campaign even further, Mao launched the “Cultural Revolution” in attempt to erase all visible signs of capitalist culture, which rendered any form of street vending contraband (ibid).

China’s urban streets remained relatively clean and devoid of observable economic behaviour through the 1980s and even into the 1990s in many cities. Most workers were busy at their posts, busily producing industrial goods inside large factories and a large majority living in apartment units provided by their work units (Solinger, 2013).

With the fall of Mao Zedong in 1976 and with him legitimacy for anti-capitalism that his socialist ideology commanded, leaders (notably Deng Xiaoping) who had been purged during the Cultural Revolution emerged once again with the same objective to reanimate China’s economy. One of the most important motivations for their permissiveness towards petty capitalism and small-scale business operations was to provide livelihood and employment opportunities for the millions of people sent to the countryside during the previous decade who had since returned to the cities. Trading, peddling, and hawking on sidewalks was once again authorized and they spread widely. Hu and Zhao (2006) revealed those working in the informal economy grew 100-fold from 0.17% in 1978 to 17.5% of the total urban workforce (Bell et al., 2014). “Practitioners of pavement businesses generally experienced what was really a major turnabout...following the landmark December 1978 Third Plenum of the Eleventh Party Central Committee, when class struggle was replaced by measures to mobilize any mode of economic action” (Solinger, 2013, p.7).

Still, regulation of informal economic activities fluctuated throughout the 1980s and street vendors continued to face intermittent persecution by officialdom. However, Solinger (2013) argues that unlike today, the torment of the sellers had less to do with the desire of the State to keep cityscapes pristine as it had with ”an ambition to reserve urban commerce for the state’s cadres to manage and keep the still-suspect private sector at bay” (ibid, p.8). Even in the 1980s, there were reports of instances of officials investigating vendors, ransacking their premises, and confiscating goods and merchants’ licenses. However, it was vendors without licenses that faced the harshest control by the State’s street patrol. Unlicensed vendors were predominantly those who were rural peasants who had migrated to the city in hopes of improving their livelihoods made up an increasing proportion of street vendors (a trend still true of today).

Indeed, relaxation of migration controls in combination with rapidly expanding urban economic activity in the 1980s and a declining agricultural sector and agricultural jobs (see Figure 6.1) resulted in an unprecedented number of rural migrants flooding into Chinese cities attracted by the promise of urban employment and opportunities. This ‘floating population’ (*liudong renkou*), however, as mentioned in the previous section, is victim to the *hukou* system which restricts their access to formal job opportunities, social services, and other basic livelihood necessities. With little other choice, many rural migrants have turned to informal employment, including as temporary low-paid labourers (*mingong*), employees of small private enterprises (*siyingqiye*), or self-employed entrepreneurs, which includes most street vendors (Huang, 2009). At the same time, as the 1980s wore on and 1990s came around Chinese leaders became increasingly aware of the potential benefits foreign relations and investments could have for country’s development. The CCP’s mission shifted to luring investors from abroad to bring in capital needed for cities to grow. This “Open Door Policy” began in 1979 under the leadership of Deng Xiaoping and further developed during the 1980s and 1990s. Some authors describe this as “market-based urbanization”, a form of neoliberal development, which would have significant implications for street vendors and particularly in terms of policies towards street vending from then on. Solinger (2013) notes that while vending was condemned during the Mao era as a result of ideological fervour against capitalism, present-day leaders are chiefly concerned to rid urban streets of vendors for the purposes of city beautification, tourist development, and “in the interest of large-scale money-makers” (ibid, p.3).

1.6 Street Vending in China in Modern Times

Street vending continues to be prominent type informal employment in cities across China today. The issue is growing in complexity, with recent initiatives demonstrating new responses in dealing with migrants and street vendors and emerging discourse amongst civil society and

the public that seeks greater flexibility in solutions to the conflict between vendors and local regulatory authorities. Presently the regulatory authorities controlling street vendors are Urban Law Enforcement Authority (*chengguan)* in each municipality whose main duty is to regulate urban public space and activity and enforce municipal ordinances related to the environment, sanitation, and street vending (China Daily, 2010). Beijing was the first city in China to establish this para-police force in 1997 (Swider, 2014).

Street vending is considered an illegal activity without a proper vending license, which very few vendors have either because they cannot afford to buy a license, do not wish to pay for a license to make modest a living, do not understand municipal laws, or cannot based on their legal status in the city (Personal interview with a Beijing *chengguan,* June 15, 2015). These vendors often come into conflict with the *chengguan* whose job is to enforce municipal rules and regulations on the streets.

In 2009, a conference was held in Guangzhou to address the issue of unlicensed street vendors in China, particularly in response to the strict banning on vending activities in Beijing during the Olympics the year before, as well as the global financial crisis. In the same year, the issue of street vending became widely discussed in Chinese social media, shedding light on advantages and disadvantages of street vending by unlicensed individuals. Arguments made for stricter regulation of street vending included concerns over traffic congestion, unfair competition for established (registered) stores with high overhead costs, lack of legal registration and evasion of taxes, and public safety. Those supporting the expansion of vendor rights cited reasons from street vending providing incomes for the urban poor to being a form of living urban heritage worthy of preservation (China Daily, 2009b).

In general, there have been calls from academics, the media, and even public officials for greater tolerance and laxity in the enforcement of laws and regulations concerning vendors. An example of this is a call by Chinese economist Li Yining for more tolerant attitudes towards vendors challenged by unemployment (China Daily, 2009b). Li's view is shared by several academics and other professions who have highlighted the need to better integrate street vendors into urban life in Chinese cities (Bell et al., 2014).

The Research

2

2.1 Research Objectives

As the previous section reveals, China has had a long history with street vending and government regulations towards this informal activity has varied over time. While there has been some literature written about street vending in China in recent times, there still exists many gaps, particularly in understanding the livelihood of the vendors themselves and how policies, institutions, and processes affect the vendors. This study seeks to contribute to filling this gap through:

1. Analyzing the characteristics and livelihood assets of migrant street vendors in Beijing
2. Determining the impact that current policies, institutions, and processes in China have on street vendors, and particularly as they affect their access to livelihood assets
3. Understanding different strategies used by migrant street vendors to sustain and improve their livelihoods, as well as the livelihood outcomes that result

2.2 Research questions

This study will address the following research questions:

1. Who are the street vendors in Beijing and why do they pursue this occupation?
2. What are the main opportunities and threats facing migrants who use street vending as a means of livelihood?
3. What are potential future prospects for street vendors and vending as a type economic activity in Beijing?

2.3 Significance of study / Literature Review

Achieving sustainable territorial development requires an understanding of the local territory, its actors, and the interrelations between them, which this research attempts to do through addressing the research objectives and questions. Only through examining the local territory; policies, institutions and processes within it; as well as relevant territorial actors, can constructive recommendations for ways to improve the livelihood sustainability of the street vendors and the territory in which they live be made.

This study seeks to contribute to the understanding of street vending as an economic activity and means of livelihood for rural migrants in Beijing, which is emerging in scope and receiving increasing attention across many areas of academia, including economics, development studies, and governance.

Literature and academic research on street vending in China has primarily gives attention to this issue under 'right to the city' frameworks, and notably in terms relations of vendors with the State / Urban Management Authority officials, and the regulation of street vendors. For instance, Dorothy Solinger has published several articles, particularly since the early 1990s focusing on the relation between China's working class and the State, as well as on the issue of urban citizenship. In one of her more recent articles, Solinger (2013) writes about the conflict between the state and street vendors in China, arguing that "shifting policies over the course of time have dictated disparate - but mostly hostile - stances to salespeople's street life in the cities." In this article, she focuses primarily on the *dibaohu*, a non-migrant group of urban dwellers holding the city *hukou*, who turned street vending after losing their jobs during a time of massive State layoffs in 1997-98. Solinger specifically discusses this subject in the framework of "rights to the city", referencing positions of scholars like Lefebvre, Purcell, and Harvey.

Also writing about street vendors in light of rights to the city is Sarah Swider, whose article *Reshaping China's Citizenship: Street Vendors, Chengguan and Struggles Over the Right to the City* (2014) discusses how migrant street vendors' lack of urban citizenship in cities under the *hukou* system has led to exclusion and intensifying clashes with the *chengguan.* Bell and Loukaitou-Sideris (2014) consider the implications of recent regulatory developments in China that strive to formalize the informal economy and its impacts on street vendors. Xue, Huang, and Li (2014) address Chinese state policies towards street vendors in the city of Guangzhou and also how exclusionary practices of urban politics in China are undermined by those whom it seeks to exclude.

Few authors have delved into the livelihoods of Chinese street vendors themselves, with the exception of Reid, Fram, and Chi (2010) who claim that "given the paucity of studies relating to how street vendors operate their businesses," conducted a study of street vendors' personal demographics and experience in the city of Dalian, China "in a modest manner...to redress this balance" (p. 248). Their study, however, is based on data solely collected through standardized questionnaires, which limits the depth of understanding of real life experiences. And further, the study is based on a sample of clothing vendors, which make up but a small fraction of the different types of street vendors present in China.

This present study will add to the knowledge on street vending in China through focusing on the livelihoods of street vendors in the country's capital city using the Sustainable Livelihoods Approach. This framework allows for analysis of the livelihood assets, strategies, and outcomes of street vendors, and how they are affected by current policies, institutions, and processes. The scope of this particular research is limited by the small sample of vendors studied.

Nevertheless, gaining a better understanding of some of the characteristics and experiences of present-day street vendors, as well as some of the challenges and opportunities they face in the contemporary urban context, is important and can contribute to policies that lead to a better experience and greater livelihood sustainability of the individuals and their families, in addition to a more socially sustainable society as a whole.

2.4 Organization of the Paper

This dissertation opens with an overview of the informal economy and street vending around the world, a brief description of the study area, the informal economy and street vending in Beijing and China in Chapter 1. This is followed by an outline of the research objectives, questions, and significance of this study, which also includes a brief review of recent literature on street vending in the Chinese context in Chapter 2.

Chapter 3 delves into the Sustainable Livelihoods Approach (SLA), the main framework used to analyze street vendors in Beijing. In this section, the different components of the SLA are explained and justification is provided for as to why this particular framework is chosen for this study. Chapter 4 describes the research methodology used in this study and details how the data was collected. Limits to the research and potential biases are mentioned in this section.

Chapter 5 will provide an account of street vendors in Beijing based on the data collected through interviews and participant observations during my fieldwork. The livelihood assets (physical, social, human, financial, natural, and political capital) of the street vendors will also be described in this section.

In Chapter 6, I explain four/five different PIPs in China and the impact they have on street vendors. Strategies used by vendors to overcome challenges and better their livelihoods and livelihood outcomes will be discussed in Chapters 7 and 8 respectively. Finally, Chapter 9 will place street vendors in the context of the SLA, discuss lessons learned and recommendations, ideas for further research on this subject, and finish with some concluding remarks.

3 The Sustainable Livelihoods Approach

This chapter will introduce the Sustainable Livelihoods Approach, the main theoretical framework used in this study, explain each of its components, and justify the use of this particular framework for this dissertation.

3.1 Sustainable Livelihoods Approach

"A livelihood comprises the capabilities (stores, resources, claims and access) and activities required for a means of living" (Chambers et al., 1991, p.6). Livelihood approaches are a way of understanding and assessing the opportunities and asset available to impoverished individuals and households, as well as the sources of their vulnerabilities and impacts that external forces (organizations, processes, and policies) have on them. Assessing livelihoods dates back to the thinking and work of British development scholar, Robert Chambers in the mid-1980s, whose main idea was that the "livelihood approach and increased participation of the poor [are] means of correcting the inevitable biases introduced by outsiders deciding what was the best for the poor people." (Schafer, 2002, p.22)

Chambers and Conway built on their original idea of a livelihood to include the notion of sustainability in their 1991 *Sustainable Rural Livelihoods: Practical Concepts for the 21st Century*, stating that "a livelihood is sustainable which can cope with and recover from the stress and shocks, maintain or enhance its capabilities and asset, and provide sustainable livelihood opportunities for the next generation; and which contributes net benefits to their livelihoods at the local and global levels and in the short and long term."

The Sustainable Livelihoods Approach (SLA) grew out of this, has been adapted, and is now used by international development agencies and organizations like the United Nations Development Programme (UNDP) and the British Department for International Development (DFID) in project and programme planning and in monitoring and review of existing activities.

"The SLA centres on ways of understanding the practical realities and priorities of poor men and women – what they actually do to make a living, the assets that they are able to draw on and the problems that they face in doing this" (Farrington, 2002, p.7). The framework can be understood as a tool or checklist to understand poverty in responding to poor people's perceptions and own understandings of poverty. The rationale is that better understanding this can improve the way policies and programs are designed to address poverty.

According to Farrington, Chapman, and Slaymaker (2001) SLAs work at three levels, acting as:

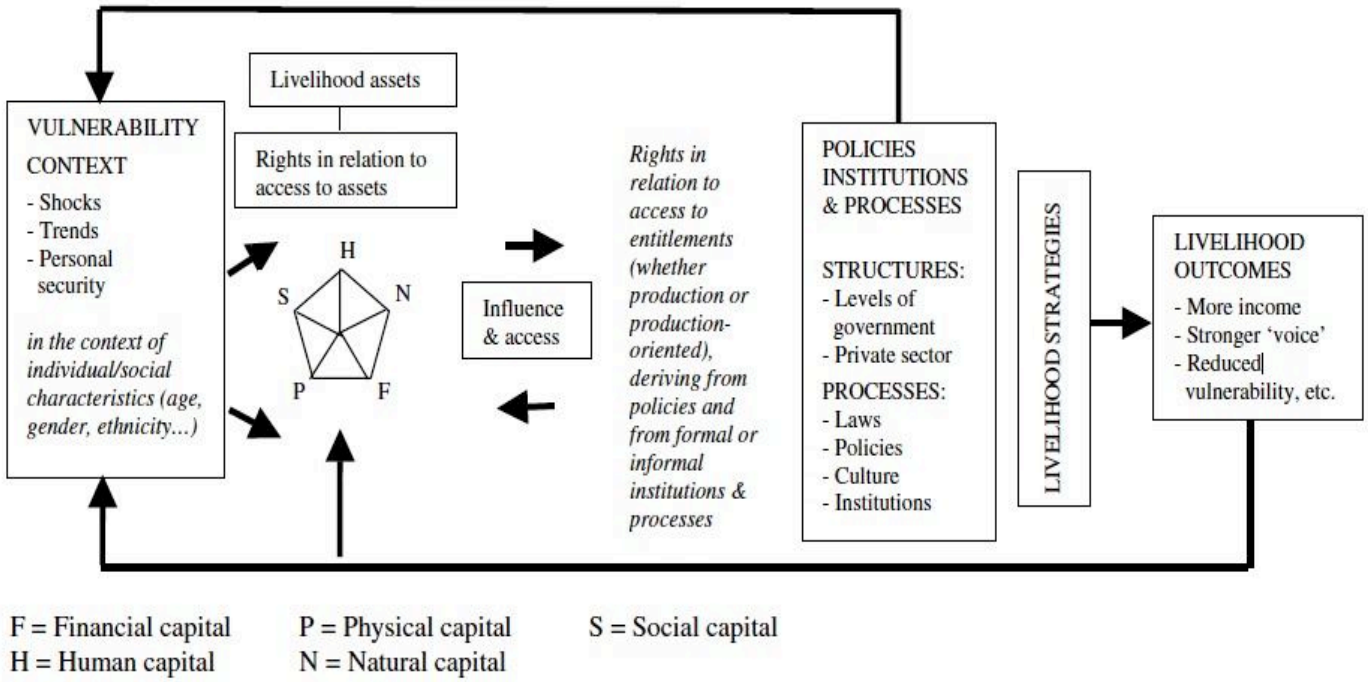
1) An overall development objective
2) A set of underlying development principles
3) An analytical framework.

The core of the SLA is the analytical framework, which focuses on the assets of poor individuals and households and the strategies they employ to improve their livelihoods (rather than focusing on their needs, as in the vein of many previous development approaches). The overlapping similarity across the varying frameworks used by different agencies applying the SL A is the core concept of virtuous or vicious cycles of increased sustainability of livelihoods or increased vulnerability.

SLAs were developed originally to analyze livelihoods of poor people in rural areas. However, as the number of impoverished urbanites continues to grow around the world, some organizations have adapted their approaches to better be able to understand the livelihoods of poor people in cities. Indeed, there are substantial differences between urban and rural environments in terms of vulnerability contexts, capital assets, access to assets for the poor, access to entitlements, policies and processes, and desired livelihood outcomes.

For this particular dissertation, DFID's framework has been selected, in part because it has been (re)designed to specifically analyze livelihoods in the urban context, and also because it places emphasis on the *rights* of individuals and households to access livelihood assets, which is very important to consider in the case of China.

Figure 3.1: DFID's SLA Framework, incorporating rights perspectives with urban adaptations



Source: (Farrington et al., 2015)

Elements of the DFID SLA Framework

✧ *Vulnerability Context*

Vulnerability is defined as the insecurity or well being of individuals or communities in the face of changing environments (political/economic/social/ecological) in the form of sudden shocks, as well as long-term trends or seasonal cycles (Moser, 1996). The extent of vulnerability is impacted by both external threats to individual, household, or community's welfare, as well as their resilience resisting and recovering from these threats (UNDP, 1997). This version of the SLA framework includes "personal security" as an element of vulnerability, differing from the DFID (1999) model in which it is not included. Personal security has been added as a vulnerability factor because the organization regarded it as something important to consider in urban contexts. This factor is not particularly relevant as an element of vulnerability for street vendors in Beijing; however, this framework was still chosen over DFID's earlier version because of the inclusion of rights in relation to access to assets, which the earlier version does not have, as explained in the following paragraph.

✧ *Livelihood Assets*

According to Bebbington (1999), assets "are not simply resources that people use to build livelihoods: they give them the capability to be and act." As such, assets are the basis of people's power to act to reproduce, challenge, or change the rules that govern the control, use and transformation of resources (Sen, 1999 cited in Moser 2005) The more assets individuals and households have and the less vulnerable they are. Likewise, the greater the erosion of people's assets, the greater their insecurity (Moser 2005). The resources that make up household assets include a broad range of financial, human, social, physical, natural, and political capital.

Older SLA frameworks have been criticized for failing to explicitly address issues of power and it is argued that "a rights analysis" provides one way of addressing political relations and helps to elucidate issues of power in determining access to livelihood assets (Farrington et al., 2002). To address this, the DFID framework includes "rights in relation to access to assets" over the assets pentagon as a means of showing these rights or *political capital* as an element which underlies all other assets. Other SLA frameworks have added political capital to the livelihood asset pentagon (making it an assets hexagon) to represent it as an asset itself. The essential thing is that the important issue of power and rights to access assets (i.e., political capital) is taken into consideration in the SLA and included in the analysis. The men and women who use these assets in their livelihood strategies have varying extents of access to and control over these assets, and issues related to access to assets is key to the SL model.

- Natural Capital

Natural Capital refers to environmental assets, including land and common property resources (with communal management determining access) or "free" (open access) natural resources like water pools and grazing lands (Farrington et al., 2005).

- Physical Capital

Physical capital consists of assets like housing, tools and equipment that people own, rent, or use, as well as public infrastructure that they have access to. Housing is typically amongst the most important assets for poor urban households, as it is used not only for shelter, but often for productive or income-generating purposes, such as renting out or workshop space (Moser, 1998). Access to housing includes a number of formal and informal tenure types, from ownership to renting to illegal occupancy. The wide range of types of access to housing results in different value of housing as an asset to particular individuals and households, as well as the extent of their insecurity (Farrington et al, 2005). As well as being an asset in itself, secure

access to housing can be key in ensuring access to other resources as well (Schilderman, 2001 cited in Farrington et al., 2002), such as human capital (through link between quality of housing and health) and social capital (through mutual support networks through neighbourhood relations). Another important issue determining the value of housing as an asset is its location. Housing located near employment opportunities tend to improve residents' access to income-generating work, and reduce transport costs and time.

Public infrastructure is also a key physical asset for the urban poor. Relatively superior public services and infrastructure are often key pull-factors in drawing rural migrants to cities. However, while overall access to infrastructure, such as sanitary infrastructure, is better in cities, many low-income urban households have limited access to that public infrastructure (particularly those in informal or illegal housing arrangements).

- Human Capital

Human capital refers to the skills, knowledge, and ability to work (DFID, 2015). It is often considered the main asset possessed by people, as it necessary in order to find employment to build financial capital needed to improve a livelihood. Human capital is dependent on adequate health care, safe working and environmental conditions, and education. It is thus increased with availability and access to quality education, training, and health services.

- Social Capital

"Social capital refers to networks of mutual support that exist within and between households, extended family, and communities, which people can mobilize to access, for example, loans childcare, food, accommodation and information about employment opportunities" (Moser, 1998 in DFID 2005). Social capital is a key asset for poor people in both rural and urban settings. In addition to social relations, social capital may also refer to wider networks of relations between poor and non-poor, including systems of patronage (DFID 2005). Linkages that often exist between urban and rural households with extended family or friends, which may rely on each other for support should also be counted. Indeed, social capital frequently transcends a city to include wider rural-urban linkages (ibid).

- Financial Capital

One of the main factors drawing rural migrants into cities is the opportunity to increase their income. The importance of income for the urban poor is related to the "commodified" nature of cities, which leads to a higher dependence on cash income compared to in rural areas. Nevertheless, while cities offer better income-earning opportunities, not all poor urbanites have equal access to income or employment. Access to employment in the informal sector is related

to a variety of reasons and in different ways. In India for example, access to informal employment is heavily related to caste or religion which offers the networks through which people get opportunities to access informal work; in China it is strongly related to the *hukou* system, which "forces" individuals into informal work.

- Political Capital

Political capital can be understood as the opportunity and ability to use power in ways that maintain or enhance political and economic positions, thus increasing livelihood options. It is an asset that enables (or conversely can hinder) individuals and households to use broader institutions and processes to make their livelihoods more secure. Political capital is often harnessed through social action taken by social groups or associations. For street vendors, this can come in the form of vendor organizations or associations that speak on behalf of vendors to improve their position in society.

✧ *Policies, Institutions, Process (PIPs)*

PIPs cover a wide range of social, political, economic, and environmental factors from household to the global level that determine people's choices and thus contribute to shaping livelihoods. These include institutions like cultural and social norms, established ways of doing things, and belief systems; organizations, policies, or legislation. They are key in determining access to the various types of assets that individuals and households use in pursuing livelihood strategies, acting as conduits to make assets available or barriers to their access.

✧ *Livelihood Strategies*

Livelihood strategies are the wide range of planned activities that individuals and households pursue to build their livelihoods, often designed to build asset bases and access to goods and services for consumption. These include both coping strategies designed to respond to short-term shocks, as well as adaptive strategies designed to improve circumstances in the long term. Livelihood strategies are determined by the assets and opportunities available to men and women. These are affected by their preferences and choices, as well as by changes in the vulnerability context and PIPs.

✧ *Livelihood Outcomes*

Livelihood outcomes are the achievements or outputs of livelihood strategies. These results feed back into both the vulnerability context and asset bases, with successful strategies leading to virtuous cycles of asset building and improvement of wellbeing, as opposed to poor livelihood outcomes which may deplete asset bases and thereby lead to vicious cycle of increasing vulnerability. DFID has purposely chosen the neutral term 'outcomes' rather than 'objectives', as

the latter may carry implications of top-down objectives (DFID, 1999). In the DFID framework, the livelihood outcome of a "stronger voice" is highly correlated to the rights of individuals to access assets (i.e., political capital), and is not as relevant to cases, such as the one studied, where political capital is relatively low.

3.2 Sustainable Livelihoods in Urban Settings

There are certainly features that set cities apart from the countryside, which shape livelihood challenges and opportunities in the respective contexts. Elements that are specific to cities should be considered when applying the SLA in urban settings. For instance, Farrington et al (2002) assert that while the shocks and stresses that people are vulnerable to relate to specific events and circumstances, poor men and women in cities often face a similar set of sources of vulnerability, which can be broadly grouped into sources accruing to the social context of cities, the nature of the urban economy, the urban environment, and urban systems of governance.

Social context of cities: Cities are often more culturally diverse, socially fragmented, and dangerous than rural areas. Households in urban areas are often more fluid in structure and income inequality is often greatest in cities. This social diversity is likely to create the need for different livelihood strategies than those in rural areas (Moser, 1996).

Urban Economy: As urban economies are characterized by a greater degree of commercialization and most basic goods must be bought or rented, city dwellers need higher cash incomes to survive compared with their rural counterparts who may rely on subsistence agriculture or payment in kind (Wratten, 1995, cited in Farrington et al, 2005). This creates high dependence on income earners and the necessity of undertaking a variety of income-generating activities. In most developing cities, these income-generating activities take place largely in the informal economy (Farrington, 2005). As informal economy activities often result in lower incomes, lack labour rights, and are done in insecure conditions, poor men and women in informal employment are susceptible to sudden unemployment, the dangers accruing to poor working conditions, and meager pay (Potter et. al, 1998, cited in Farrington et al., 2005).

Environment and Health: Poor men and women in cities often must make a trade off between quality and the location of their living spaces – living in areas with poor, insanitary (and even hazardous) environments in locations near livelihood-generating opportunities or comparatively better conditions further away from income-generating opportunities. Further, many poor urban men and women work in the informal economy where working conditions are often unsafe and detrimental to health, such as in construction, factory work, or other hard labour jobs.

3.3 Why SLA for analyzing street vendors?

As previously mentioned, the core of the SLA is its ability to act as an analytical framework, which focuses on the assets of poor individuals and households and the strategies they employ to improve their livelihoods. Being predominantly poor rural migrants, street vendors in Beijing often face a number obstacles in improving their livelihoods as a result of PIPs, such as limited rights due to the *hukou* system in China, which makes the SLA particularly interesting since this approach requires analysis of both vendors' assets and strategies, as well as how they are affected by the PIPs. The DFID approach, which incorporates a rights based analysis (i.e., the subjects' ability to access livelihood assets based on the PIPs) is especially relevant to the study of street vendors in Beijing.

4 Research Methodology

4.1 Research Methodology

Qualitative research techniques were chosen for this study on street vendors in Beijing because of their flexibility and ability to derive deep understandings about the subjects and their life experiences. Qualitative research approaches seek to understand phenomena in context-specific settings "[where] the researcher does not attempt to manipulate the phenomenon of interest" (Patton, 2002 in Nepal). It is essential to exploring individual attitudes, perceptions, conceptions, and priorities, especially when dealing with sensitive topics, and offer a rich understanding to individual life (Anafi, 2000). Maxwell (1996 in Nepal) cites five keys purposes where qualitative research is particularly suitable: understanding meaning; understanding particular contexts; identifying unanticipated phenomena, influences, and generating new theories about these; understanding processes by which events and actions occur; and developing causal explanations.

This dissertation is comprised of both primary and secondary research.

Primary data sources

In terms of primary data collection, a mixture of semi-structured interviews; key informant interviews; informal conversations; and personal observation were used. This was completed over the period of six weeks between May and June 2015 in Beijing, China.

Interviews

Interviews allow researchers to produce rich, in-depth, and varied data in informal settings through providing through examinations of experiences, feelings, and opinions that closed questions cannot capture (Kitchin and Tate, 2000). Standardized open-ended interviews consist of a set of pre-planned, carefully worded, open-ended questions. Interviews ask the same set of questions using standardized wording to all respondents, which increases the comparability of responses and reduces potential biases in terms of answers derived from how questions are answered. While the questions are standardized, the respondents are free to express themselves.

A total of 25 standardized semi-structured interviews were conducted with randomly selected street vendors in Beijing in May and June 2015 to learn about demographics, experiences, and livelihood assets, strategies, and outcomes. The majority of the vendors interviewed were located in the Dongcheng District within the 2nd ring road of Beijing because of their proximity to my place of residence and internship. A few vendors operating around the Sanyuanqiao Subway were also selected because they were located along a regular commute I made. And some vendors interviewed by opportunity while traveling around different parts of the city. (See Figure 5.1 of the interview locations). For all the interviews, I read a pre-planned set of questions to each respondent and recorded their answers on a form. The questions were a mixed set of closed questions (mainly to gather personal information about demographics) and open-ended questions, where I left room for the respondents to elaborate. At times, their responses would lead to further questions derived on the spot.

Due to limitations on my Chinese writing abilities, the interviews were conducted in Chinese with notes recorded in English, with the exceptions of some terms and expressions noted in pinyin where I could not come up with a direct translation at the time of the interview. Because the notes were recorded in a different language to that of the interview, there could be some slight imprecisions in interpretation, particularly in the answers to the open-ended questions. However, I tried to safeguard the meanings and nuances of the respondents to the best of my ability. All participations provided oral informed consent to participate and were assured anonymity. No incentives were offered to the people interviewed.

I did not approach and conduct interviews with all the street vendors I came across for a number of reasons, the primary one being that they were busy serving customers and I did not want to disturb their business. Not all the street vendors I approached were willing to be interviewed, some saying that they were too busy or unknowledgeable about street vending since they had just started in this business, and some simply turning down the interview. This could lead to some bias in the information gathered. For instance, vendors who were too busy to conduct an interview (which was the most frequently cited response for declining an interview) may have been ones who generally have a high customer flow and hence earn relatively more money than others who did not have as many customers and more time to be interviewed.

The street vendors who talked most openly during the interviews were those whom I had built relations with prior to the interview, either through having bought their products previously (some on multiple occasions) or had greeted while passing by frequently. This highlighted the importance of trust between interviewer and respondent in gathering information about personal experiences and what can be considered to be sensitive information.

Key Informants

Key informants are regarded as "experts" in the field who impart important information to the researcher. For this study, four key informants were used, including one past-street vendor, two present street vendors, and one Beijing Urban Management Officer (*chengguan*).

The past street vendor interviewed can be considered an informal interview of opportunity. The man, age 30 from Henan province, is presently an Uber and DiDi Kuaidi[1] car driver with whom I chanced upon a car-ride with. Upon introducing myself as a Masters degree candidate completing research on street vendors in Beijing, the driver told me that he had worked as a fruit vendor for five years prior to purchasing a car and deciding to become an Uber and Didi Kuaidi driver instead. I asked him if he would be willing to be interviewed for my research and he agreed to answer any questions I had. He provided some very interesting insights into his experiences as a street vendor, methods he used to improve his livelihood, and why he decided to change his occupation.

The two key informant present street vendors include a 67 year old woman from Hebei selling hair accessories in an underpass and a 20-year-old young man selling fruits near Beijing's busy Wangfujing pedestrian street. The woman has been street vending in Beijing for five years and was very open to speaking about her experiences. I visited her in the same location on six different occasions, spending between half and one hour each time to ask her questions, chat about her day and experiences, and observe as she conducted her business. My other key informant vendor has been involved in selling fruits in Beijing for around half a year. I met up with him four times over the course of one month to ask about his experiences and challenges as a relatively new and young vendor, observe as he conducted his business, as well as had the opportunity to follow him to the Beijing Urban Management Authority office to pay a fine and reclaim his products which he had confiscated. He introduced me to a number of his other family members (uncles and cousins) who were also involved street vending, which provided me with good insights into the workings of family networks and the importance of social capital in this occupation.

Due to time constraints and issues of sensitivity with interviewing the Beijing *chengguan*, the interview was conducted over WeChat messaging. While this method of conducting an interview

[1]Uber is an American company that develops, markets and operates a mobile app, which allows consumers with smartphones to submit a trip request, which is routed to Uber drivers who use their own cars to provide taxi-like services. (www.uber.com). DiDi Kuaidi is a Chinese company that offers similar service.

limited the chance to ask follow-up questions to some response and reduced the interrelation between questions, it provided the opportunity for the interviewee to offer well thought-out and candid responses in writing. Moreover, because this format did not require a set time and place for the interview, the respondent agreed to answer further questions I had after the first set of questions, and I was able to pose a second series of questions after receiving and reflecting on his initial responses and after coming up with further questions having completed more interviews with street vendors in the meanwhile. Of course, since I was only able to interview one *chengguan*, his responses can only be considered as indicative of street vending regulation trends and challenges in Beijing.

Informal Conversational Interviews

Informal conversational interviews often occur spontaneously over the course of field research, where questions emerge from the immediate context and the respondents may not know that an interview is taking place. Kitchin and Tate (2000) assert that the unstructured nature allows respondents to talk about a certain topic within their own 'frame of reference', which provides a greater understanding of their point of view. One advantage of this type of interview is that it is individualized and made relevant to each particular respondent. It also helps to broaden the understanding of the researcher on relevant issues which he or she may not have thought of before, as well as produce unanticipated insights.

During my time in Beijing, I had a number of informal conversations with both street vendors and local citizens about their experiences with and opinions on street vendors. I also spoke with one grocery store owner whom I observed had gotten into verbal conflict with a vendor selling outside his store. These informal interviews, as the theory behind this form of data collection suggests, provided me with a wide variety new insights into my research topic, which I had not previously thought about, as well as broadened by overall understanding of the experience of street vendors and their livelihood assets, strategies, and outcomes as relevant to my study. Informal conversation interviews with locals and the grocery store owner helped to deepen my understanding of the way the public view and other local stakeholders experience street vendors.

Participant Observation

Participant observation can be defined as "the process of learning through exposure to or involvement in the day-to-day or routine activities of participants in the researcher setting" (Schensul et al., 1999, p.91). It is meant to help a researcher "...develop a holistic understanding

of the phenomena under study that is as objective and accurate as possible given the limitations of the method" (DeWalt et al., 2002, p.92). Moreover, when added to other data collection methods, observation can be used as a way to increase the validity of the study, since it may help the researcher gain a better understanding of the context and phenomenon under study (ibid).

The degree to which the researcher involves him or herself into the culture or environment under study affects the quality and amount of data he or she is able to collect. For this study on Beijing street vendors, I mainly took an "observer as participant" stance, which Kawulich (2005) explains "enables the researcher to participate in the group activities as desired, yet the main role of the researcher... is to collect data, and the group being studied is aware of the researcher's observation activities." This included spending upwards 60 minutes with a street vendor as he or she conducted business, asking questions if they arose, but mainly taking notes; and spending time in the home of a family of street vendors**.** My participant observation also happened in a "complete observer" stance, whereby "the researcher is completely hidden from view while observing or when the researcher is in plain sight in a public setting, yet the public being studied is unaware of being observed" (Kawulich, 2005). Participant observation was an important method of data collection for this research, which complemented the interviews.

Secondary Data Sources

Information and knowledge drawn from secondary sources can be very helpful to better conceptualize and contextualize the topic of study. Desk research was completed prior to the fieldwork in order to better understand:

1) the informal economy and street vending as an employment activity around the world (particularly in order to determine aspects uniquely Chinese)
2) China and its policies towards street vending
3) how street vending in China has been written about in academia
4) the concept of livelihoods, as well as the Sustainable Livelihoods Approach, which would be the main theoretical framework used in this study

4.2 Limits of the Research and Challenges in the Field

One of the main limits to my research was time. Fieldwork was conducted over a period of approximately 6 weeks, however, was limited for the most part to evenings and weekends, as I was pursuing a full-time internship during workweek days. This meant that I was unable to

conduct interviews with vendors who only work during the day, and limited the overall time I had in the field to conduct my research and gather data.

The limited number of vendors interviewed for this study does not constitute a completely representative sample of the street vendor population in Beijing. However, as this is not a study based on quantitative analysis, obtaining a sufficiently large and unbiased sample of the vendor population was not the objective. Still, even with a limited number of respondents, insight into the different types of people who pursue this occupation, their characteristics, reasons for vending, and experiences, as well as insight into the occupation of street vending in Beijing itself can be drawn. Most importantly, it is the vendors themselves who have provided this information about their own livelihoods. Information provided by the *chengguan* complements that of the vendors to paint a larger picture of this informal occupation and those behind it.

5 Street Vendors in Beijing: Research Results

As mentioned earlier, street vendors have been operating in the streets of China and Beijing for centuries. The people selling, the types of products and services they offer, and their experiences change with the context of the times. This Chapter will provide an overview of who the street vendors are, why they pursue this occupation, and outline some of their day-to-day and livelihood challenges and opportunities working in this field based on the responses gathered from 25 semi-structured interviews completed with street vendors throughout the city of Beijing as well as one *chengguan*.

5.1 Street Vendors in Beijing

A local survey conducted in 2003 revealed that 8.8% of the urban floating population in China makes a living through street vending (Beijing Statistics Bureau, 2004 in Xue et al., 2014). If this rate is accurate and representative of street vendors in Beijing today, this would suggest that there could be approximately 719,840 people making a living through street vending in Beijing, a city with a floating population of an estimated 8,180,000 (Beijing Statistics Bureau, 2014). However, the *chengguan* interviewed claimed that there are no recent statistics available on the number of vendors presently operating in the streets of Beijing. He estimates that there could be upwards one million vendors in Beijing if both those selling as their main occupation and those who sell occasionally (for extra pocket money for instance) are considered (Personal interview, June 15, 2015 and August 21, 2015). However, he emphasizes that limited research has been conducted on street vendors, and so this can only be considered one estimate given by someone with some knowledge in this subject.

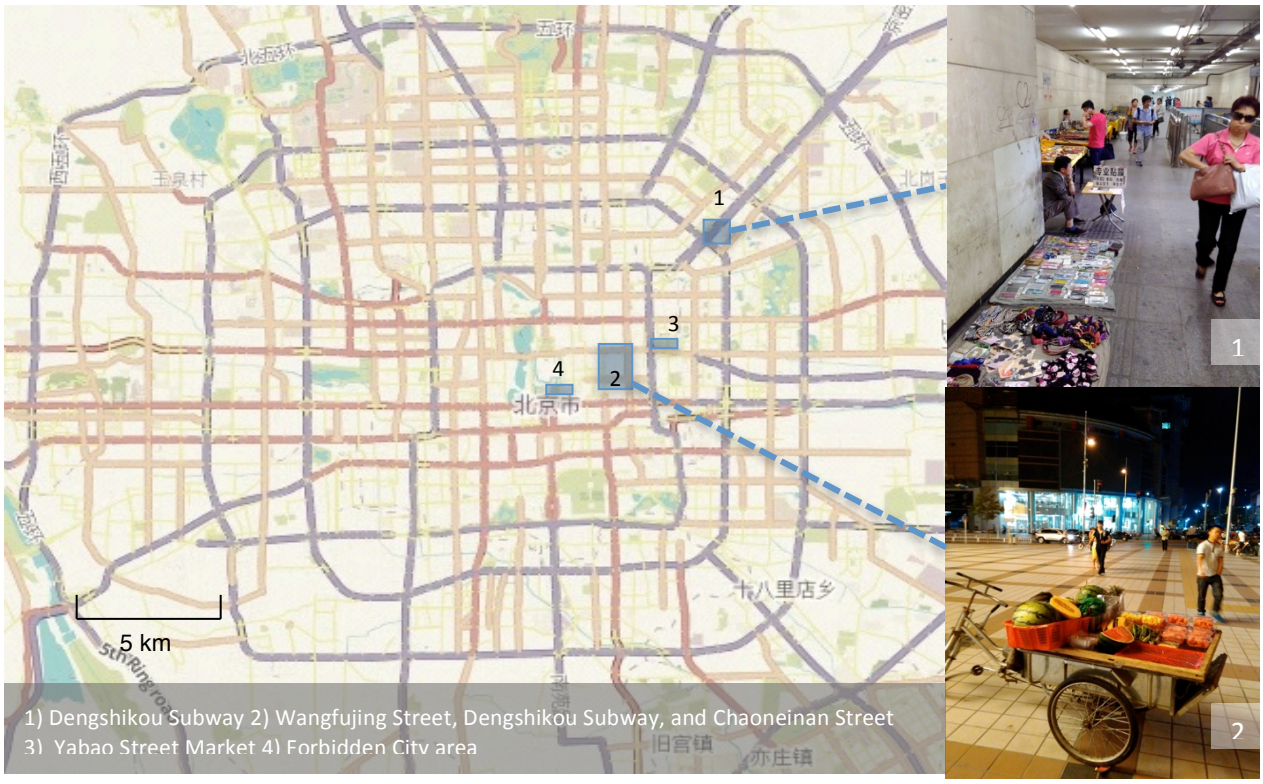
The *chengguan* explained that vendors are predominantly from the neighbouring provinces of Henan, Anhui, Jiangxi, Hebei, Shandong, Sichuan, Liaoning, Heilongjiang, and Jilin. He explains that they come to city in the first place because of little income-earning opportunities and poor quality of life in rural China. Once in the city, the vendors sell for many reasons, including inability to find other work due to lack of skill or qualifications, desire for autonomy and unwillingness to work for an employer, profitability, extra pocket money to complement another (often informal) job like construction or cooking, and sometimes laziness to find another type of job (Ibid). It is important to note the fact that the *chengguan* refers to the street vendors as being "lazy" is an indication of the way in which he, and likely other authorities, negatively perceives the vendors and is not necessarily a fair or accurate judgment of them.

Location of street vendors

Street vendors are located all throughout the city of Beijing. There are areas in which they are heavily concentrated, such as in highway underpasses and outside certain subway station exits. The *chengguan* interviewed explained that there will tend to be less control of vendors in areas where there are few or no other stores in the vicinity, and vendors will concentrate in those locations. Some busy areas, such as along and around Wangfujing Street, are heavily controlled, and vendors who are brave enough to sell there will venture out in the late evening once most officers are off duty. There are some areas where only one vendor will be operating alongside a busy road or on a sidewalk. Aside from *chengguan* control, other considerations made when choosing a location to sell include proximity to customers (which varies depending on the type of goods sold), avoiding competition and hostile encounters with other vendors, agglomerating with vendors selling similar products so that customers know to go to that location for a certain good or service, and proximity to place of residence, among others.

Most of the vendors I interviewed for this study were located at two different locations: (1) Inside the Sanyuanqiao Subway Station underpass and around one of its exits and (2) Between Wangfujing Pedestrian Street and Chaoneinan Street, around the Dengshikou Subway Station. However, I also interviewed a few street vendors along Yabao Street (3), well known for its high density of street vendors, and around the Forbidden City (4). These locations were chosen because of their proximity to places I frequented and are areas with a high concentration of street vendors.

Figure 5.1: Location of street vendors interviewed for this study in the city of Beijing, China



Photos: 1) Underpass at Sanyuanqiao subway station 2) Wangfujing Pedestrian Street
Source: Image of City of Beijing from OpenStreetMap, Photos taken by author

Demographics & Experience of Street Vendors Interviewed

As mentioned, for this study, I interviewed a total of 25 street vendors:

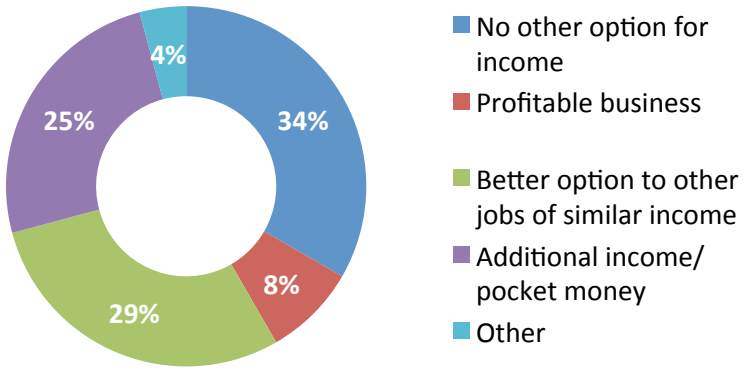
- 16 males and 9 females, ages ranging from 18 to 67 with an average age of 37 (42 for female and 34 for male vendors)
- The vendors came from the following provinces in China: Henan (10 vendors), Hebei (5), Anhui (3), Tibet (2), Liaoning (2), Inner Mongolia (1), Shaanxi (1), and Shandong (1)
- The length of time the street vendors had spent in Beijing ranged from 2 months to 28 years, with an average of 7.7 years
- The length of time they have pursued street vending ranged from 1 month to 21 years, with an average of 4 years
- Types of products sold or services offered by the street vendors I interviewed included fruits (8 vendors), Clothing (3), Electronic accessories (3), cooked food (2), jewelry (2),

socks (2), toys (1), hair accessories (1), phone screen replacement/phone cases (1), popsicles (1), and vegetables (1)

- Education level of the street vendors interviewed was generally quite low: One vendor had never attended any formal education, 6 had finished primary school, 11 had finished middle school, 5 had finished high school, and 2 had undergraduate degrees.
- Eight of the vendors have other occupations aside from vending. 17 of the vendors claimed that street vending was their main source of income.
- The average number of days per week worked by a vendor range from 4 to 7, with an average of 6.24 days / week.
- The average number of hours per day worked range from 2.5 to 11 hours, with an average of 7 hours. For vendors whose main source of income is from street vending, the number of hours worked per day ranges from 4 to 11 hours, with an average of 8.4 hours per day.
- The average net income of all the vendors interviewed was approximately 294 RMB/day ($46 USD). For vendors who claimed that street vending was their full-time occupation (thus removing those who vended as a hobby or as a part time job for extra pocket money), the average daily net income ranged from 50 RMB to 2,000 RMB, with an average of 383.50 RMB/day ($60 USD). Street vendors' average earnings seem relatively high when compared with the average earnings of migrant workers in Beijing of 2,290 RMB/month ($359 USD) in 2012 (Yao, 2013). However, it is important to consider that the street vendors may not be able to sell or have significantly worse business on days with bad weather, during the winter months, and if heavily controlled by the *chengguan* on certain days. Thus, while the daily earnings reported are high compared with other migrant workers, the variability of their overall earnings should also be taken into consideration.

The main reasons cited by the vendors themselves for moving to Beijing included a combination of lack of work and income generating opportunities in their hometowns, along with hopes and prospects of creating better lives for themselves and their families in the country's capital city. Better education for children compared with that offered in their hometowns and services available in the city (namely related to healthcare) were also cited as pull factors that drew vendors to Beijing. When asked what was the top reason they pursued street vending as an occupation (respondents were asked to cite their top one answer only), the following responses were given:

Figure 5.2: Interview responses to reasons for street vending



Source: Data collected through interviews by author

As the chart shows, the one third of vendors responded that they pursued street vending because they had no choice. Often cited was the lack of skills and qualifications needed to undertake other types of employment. Age was also a factor, as it was generally older respondents who claimed to have no other options for income (the average age of respondents who pursued street vending because they did not have any other option for income was 52, compared with the average age of 37 for all vendors interviewed). About a third of the vendors interviewed answered that they street vend because they would earn a similar salary undertaking other forms of employment they would have potential to be hired for in Beijing, namely other informal jobs such as that in construction, work in a factory or store, cooking, or working as a waiter, and street vending was less strenuous than hard labour and gave them more autonomy.

5.2 Beijing Street Vendor Livelihood Assets

Livelihood assets are the resources that people use to build livelihoods and one of the core elements analyzed in the SLA. The more assets individuals and households have and the less vulnerable they are. Likewise, the greater the erosion of people's assets, the greater their insecurity (Moser, 2005). The resources that make up household assets include a broad range of financial, human, social, physical, natural, and political capital (See Chapter 3 for description of each). Each of these capitals will be discussed in the context of street vendors in Beijing.

Financial capital

Increasing their financial capital was likely the most common pull factor drawing the migrants to Beijing. Although household incomes level of financial capital of the street vendors I interviewed varied – some earn just enough to sustain themselves and perhaps their family in the city, while others earn enough to save, invest, and send remittances back to their families at home – the respondents all claimed that they made significantly higher incomes in Beijing than they would have had they stayed in their hometowns. Many vendors asserted that moving to the city is the only way they can better their financial situation. Some said that they work in Beijing only a few months of the year to earn money, and then return to their families in their rural villages where the cost of living is much cheaper.

According to my survey results and with confirmation from the *chengguan,* fruit and food vendors tend to earn the most money, along with cellphone screen protection service and clothing vendors. While the average income of all the full-time vendors was 383.50 RMB/day, the average daily income of fruit vendors I surveyed was approximately 587 RMB/day. However, income does vary throughout the year and is affected by several factors, like getting fined by *chengguan*, customer flow on a certain day, tourism, the weather, and the season. Building financial capital is very important in Beijing, where the cost of living is much higher than smaller cities and rural villages.

Human capital

Human capital, the skills, knowledge, and ability to work, is often considered the main asset possessed by people, as it necessary in order to find employment to build financial capital needed to improve a livelihood.

The education level of the street vendors I interviewed was quite low. Of the 25 vendors, only five had graduated high school and two had undergraduate degrees. When asked why they pursued the occupation of street vending, many of the vendors responded that they lacked skills and education to undertake any other jobs. For them, their lack of education posed as a barrier to many potential employment opportunities.

> *"I street vend because I am uncultured (meiyouwenhua). I only have a primary education, what else would I be able to do aside from this occupation? That's one of the challenges of Tibet…education is very poor there."*
>
> - Woman, 30, Tibet (cooked food)

"There are over 7 million university graduates in China each year. Even they can't find good jobs. How does a migrant who didn't finish middle school to get a real job? That's why I sell things on the street."

- Man, 35, Henan (selling popsicles outside the Forbidden City)

Some of the street vendors believed, on the other hand, that their lack of education was not a barrier to earning money or improving their livelihoods, stating that:

"Many university graduates can't find good paying jobs in Beijing because there are so many of them. I think I can earn more selling fruits than some university graduates can make … I don't think I'd go back to school even if I had the chance…it's not for me. I've learned a lot by selling fruits too, skills that school can't provide."

– Xiao Hong, 21, Henan (Fruits)

Formal education levels of rural migrants tend to be quite low. This was cited as one of the main reasons for turning to street vending, particularly those who pursued this occupation out of lack of other options for earning an income. Street vending is an occupation that does not require any formal education at all, and based on the small sample of vendors interviewed, there does not seem to be a positive correlation between education level and income. The fact that even with low education levels some respondents were able to significantly improve their livelihoods as a street vendor is a testament that this occupation provides opportunities for livelihood improvement regardless of education level. For this occupation, human capital thus can also be measured in terms of skills and knowledge in relation to street vending, which all the vendors seemed to have at least some sense of, by knowing what, where, and when to sell to maximize profits and minimize conflicts.

Moreover, the interviews revealed the education level of the vendors' children was generally higher than the vendors themselves (for those with older children) and projected to be eventually higher than the vendors (for those with young children). Parents seemed to place a high value to educating their children and some claimed that they worked as much as they did to earn enough money to pay for their children's tuition.

"*I dropped out of middle school to start working so I am poorly educated … [But] I have a son studying at a vocational college and a daughter in high school. So my*

wife and I must work hard in order to pay for their tuition … I really want my daughter to have a university degree."

- Man, 56, Henan (Fruits)

The fact that the vendors' children are more educated than their parents is a positive sign for the future of the family (see page 57).

Street vending also provides opportunities for elderly individuals to earn a living, giving them the chance to make money in the city when they cannot find other jobs.

"I came to Beijing to work as a cook 5 years ago, but employers don't like to hire people older than 60 years old. So I started selling things, first outside the Beijing Zoo. It was good business then. I made nearly 30,000 RMB in seven or eight months and send money home to my daughter and helped her purchase a car. But then we were no longer allowed to sell there… all the vendors were cleared away, so I decided to sell here since it's close to home. I can walk here in 10 minutes … I sell hair accessories because they are light and easy to carry for an old lady. I take them in a blanket and walk from my home to this spot in the morning and walk home with them at night … I'm here [in Beijing] alone. But my work isn't that hard. I bring my things here to sell every day. If I get tired, I just take a nap. It's not all that bad."

- Key informant, 67, Henan (Hair Accessories)

As a relatively physically undemanding occupation for migrants (compared with construction or other hard labour jobs), street vending allows for older aged migrants in Beijing to employ their human capital and abilities to live independently and sustain their own livelihoods in the city.

Social capital

Networks of friends and/or family in the city and the countryside can make a very big difference for migrants in Beijing. According to survey responses, vendors who claimed to have family or friends in the city who would be able to help them in case of financial or other trouble tended to be more satisfied with their overall occupation than those who ventured to the city alone. Further, many vendors, particularly those selling fruits or cooked food, explained that they got started in their business as a result of existing connections in the city who showed them how

and where to acquire products to sell, provided them with materials (e.g., a bike cart/trolley) needed to start their business, and information as to where and how to sell the products.

Xiao Hong, a 21-year-old boy from Henan province selling fruits explained that it was his elder cousin that helped him get his business started in Beijing:

> *"My cousin has been selling fruits in Beijing for over ten years. He's well known and liked by all the other vendors in this area...and the chengguan too. He knows this business very well. When I told him I wanted to come to Beijing as well, he said he'd teach me how to sell fruits. He let me stay with his family so that I don't have to pay rent until I earn some money. He also found me a fruit cart and showed me where to buy the best wholesale fruits to sell. He's helped me a lot!"*
>
> - Xiao Hong, 21, Henan (Fruits)

However, not all vendors had connections before coming to Beijing. Some ventured to the capital alone or with a partner and had to start from scratch. Eventually they would meet others, oftentimes migrants from their home provinces with whom they shared common languages or those who have been selling in the same location for a while, and build small communities of mutual support in the cities. While these groups are created by the vendors who for one reason or another decide to band together, predominantly without any formal structure, they can provide the members increased bargaining power against the *chengguan,* sentiments of solidarity and greater confidence, and a secured location for vending by not allowing outsiders to sell in a certain location (see page 50).

Only four vendors said in their interviews that they currently have no real friends or relatives in Beijing who would be able to help them in case they ran into problems, thus the majority did have some sort of social support in the city. Those who claimed to not have friends in the city said they did have connections with people in their hometowns, who were helping to care for their children or land, which allowed them to venture to Beijing to work and earn money. Further, since the interview question posed was whether or not the vendors had friends or relatives in Beijing who would be able to help them if they ran into trouble at the time of the interview, it is very possible that they *previously* had connections whom may have helped them get established in the city and with their business.

Physical capital

Physical capital consists of assets like housing, tools and equipment that people own, rent, or use, as well as public infrastructure that they have access to. Housing is typically amongst the most important assets for poor urban households. As well as being an asset in itself, secure access to housing can be key in ensuring access to other resources as well (Schilderman, 2001 cited in DFID 2005), such as human capital (through link between quality of housing and health) and social capital (through mutual support networks through neighbourhood relations).

All the vendors I interviewed had been able to secure some sort of rented living quarters. Some rented a room in a shared apartment, some rented an entire apartment unit for their family, and some shared a room with other migrants. Housing conditions of the vendors are not always ideal. For example, a 40-year-old woman selling electronic accessories said she shared a damp, stuffy, windowless room in a basement apartment unit with five other women. Such informal basement apartments have sprouted across Beijing as cheap sources of accommodation for the urban poor, notably migrant workers. However, these spaces are often dirty, infested with pests and mold, and lack airflow (a personal visit and observations can attest to this). Moreover, interviews and informal conversations with street vendors and other rural migrants revealed that these types of rented units are often acquired without formal contracts, which makes the tenants vulnerable to sudden eviction.

Figure 5.3: Inside the home of a street vendor interviewed

Source: Author

Another important issue determining the value of housing as an asset is its location. Housing located near employment opportunities tend to improve residents' access to income-generating work, and reduce transport costs and time. Housing in Beijing's city centre is expensive; and one fruit vendor said that since he could not afford anything in the city centre, he rented a room near the fourth ring road and must ride his bicycle 45-60 minutes to his main working location in the city centre everyday to where customer flow is higher. However, the majority of vendors interviewed were able to find housing in the city centre, which significantly reduced travel time and transport costs to locations with high levels of customer flow. My survey of the 25 vendors found that 18 of them live within 15 minutes of their vending location, either by bike or on foot.

I did not delve too deep into the subject of housing during my interviews and research, though it is definitely an important aspect of physical capital and street vendor livelihoods, and hence an interesting topic for further research.

Vendors also need space to store, sell and in some cases produce their goods (such as cooked food) to sell. All the fruit and vegetable vendors interviewed had bicycle or electric-powered carts to transport and sell their goods. Cooked food vendors had food carts to prepare and sell their food, all attached to motorized bikes which they also used as a means of transport from their homes to the vending location. These vehicles are essential physical capital for the vendors, and can affect their business as well. An electric or motorized cart can enable vendors to live further away from their selling location (where rent is cheaper), travel more easily between selling locations, and have a higher chance of escaping control and potential fines from the *chengguan*. Moreover, for cooked food vendors especially, a separate kitchen facility is not needed to prepare food in advance. Vendors selling electronic accessories, hair accessories, and jewelry sold from makeshift tables and blankets on the ground. Their products are less bulky and more lightweight and can easily be packed up, transported, and stored. These types of businesses can be established with relatively low financial capital but also tend to reap lower profits (the average net daily income of vendors selling from a bicycle, electric, or motorized cart was 453 RMB ($71 USD) compared with 199 RMB ($31 USD) for those selling on foot, on a blanket, clothing rack, or table.

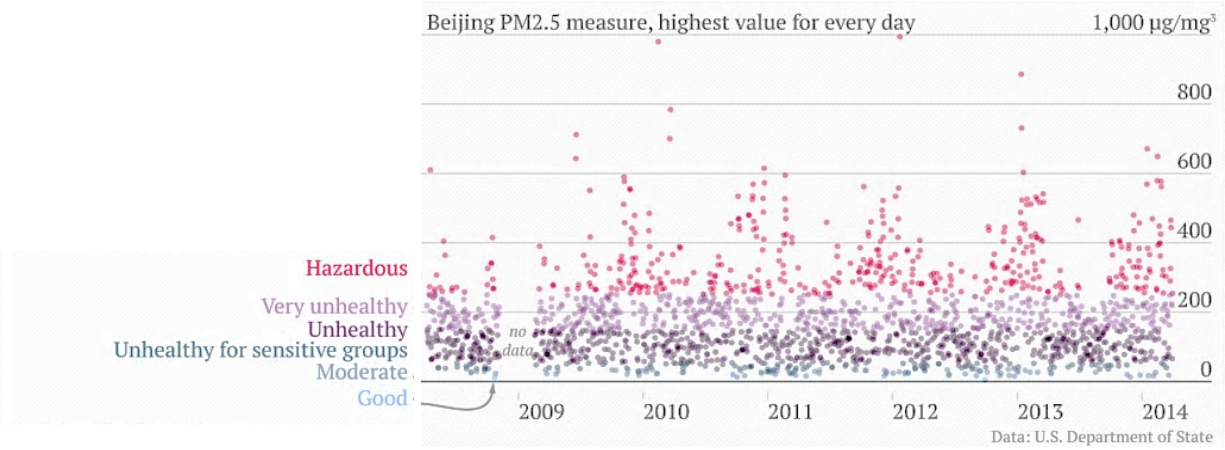
Public infrastructure is also a key physical asset for the urban poor. Relatively superior public services and infrastructure are often key pull-factors in drawing rural migrants to cities. While many public services are limited to migrants by the *hukou* system (see Chapter 6), interview respondents did mention that the services in Beijing were much superior than those in their rural villages. For instance, a 35-year-old Popsicle vendor said that he had moved his family to Beijing after his daughter fell ill and needed treatment at a better hospital than was offered in his hometown. According to the vendors, schools (and particularly public schools) in Beijing are also of comparatively higher quality than in rural China, which can lead to improved education of street vendors' children who live in the city with their parents. (Four of the 10 vendors that I interviewed who had children under the age of 16 had one or more children living with them in Beijing). Despite being comparatively better than rural schools, however, schools for migrant children in Beijing and other large Chinese cities are worse off than schools for local students and have much room for improvement (see page 64).

Natural capital

Natural capital is much less relevant in urban settings than in rural settings and it did not seem to be very important to the street vendors' livelihoods in the cities. Nevertheless, as many of the vendors are from rural areas and some of their family members are still involved in agricultural activities, farming remains a source of income (however small) for some of families where one member of the household has temporarily migrated to Beijing for work. In this sense, natural capital has a higher value as a household asset. Moreover, some older vendors said that they plan to retire to their farms in the near future, and thus access land and clean water needed to grow their produce will become more important to their livelihoods.

Another aspect of natural capital that, based on personal observation, is something that may be interesting for further research is the affect of Beijing's air quality on the health (and thus human capital) of street vendors who operate their businesses even on extremely bad pollution days when people are advised to remain indoors**.** Using data from the US Department of State, the chart below was made to visualize the air pollution in Beijing. Since April 2008, there have been at least 1,812 days where the air quality in Beijing has reached "unhealthy" levels, many of which street vendors continue to pursue their job outdoors and often near traffic where there is added road-side pollution.

Figure 5.4: Beijing Air Pollution Graphic



Source: Yanofsky, D. Quartz. Accessed July 26, 2015 from qz.com/197786/six-years-of-bejing-air-pollution-summed-up-in-one-scary-chart/

Political capital

Political capital is the opportunity and ability to use power in ways that maintain or enhance political and economic positions, thus increasing livelihood options, and is an asset that enables (or hinders) individuals and households to use broader institutions and processes to secure their livelihoods. The political capital of street vendors is very low, in part due to the political system in China, the government's harsh stance towards the formation of formal organizations, associations, and unions to speak out for marginalized groups including migrant workers and vendors, and the vendors' lack of "urban citizenship" and its associated rights as a result of the Chinese *hukou* system, amongst other reasons. These will be discussed in greater detail in the section on PIPs in Chapter 6.

6 Policies, Institutions, and Processes Affecting Street Vendors

6.1 Policies, Institutions, and Processes (PIPs) in China Affecting Street Vendors

PIPs cover a wide range of social, political, economic, and environmental factors from household to the global level that determine people's choices and thus contribute to shaping livelihoods. Included in PIPs are policies and legislation, organizations, cultural and social norms, established ways of doing things, and belief systems. PIPs are very important to livelihoods because they operate at all levels and in both private and public spheres. They effectively determine *access* (to various types of capital used to pursue livelihood strategies), *terms of exchange* between different types of capitals, and *returns* to any given livelihood strategy (DFID, 2000). PIPs also have a direct impact on whether people are able to achieve a feeling of inclusion and well-being and account for other unexplained differences for the way things are done in different societies. (DFID, 2000)

There are a number of PIPs in China that directly and indirectly affect the livelihood of street vendors: their vulnerability context, access to livelihood assets, and their ability to pursue livelihood strategies. Six important PIPs affecting the ability of street vendors to access livelihood assets will be elaborated below. These six were selected because of their prominence as issues discussed in other relevant academic literature on China and because of their seeming importance based on personal knowledge gained from desk research and interviews; however, there are undoubtedly other PIPs that also affect street vendor livelihoods as well which I have not included in this paper due to limited access to information, knowledge, and time to pursue this research. I will provide an explanation of each and how the specific policy, institution, or process affects the livelihoods of street vendors in Beijing, and notably their right to access livelihood assets.

1. Urban citizenship and the Hukou system

As discussed in Chapter 1, all Chinese citizens are issued a *hukou* based on their place of birth. Urban *hukou*s are associated with urban citizenship and provide access to high quality social benefits such as education and healthcare, along with full entitlements including retirement and unemployment insurance. Rural migrants living in Beijing are denied access to social benefits, medical care, low-income housing, and education for their children after primary school.

Some authors have linked migrant street vendors' lack of urban citizenship and its associated entitlements to increased social exclusion, vulnerability, and see it as a significant barrier to accessing livelihood assets. In terms of social exclusion for instance, Swider (2014) explains that *"under [the hukou] system, migrants become second-class citizens in the cities as they are denied access to most public goods and social entitlements ... Migrants are seen as culturally inferior, dirty, uncivilized, and lacking in proper language skills. These traits are associated with the idea that they are lesser humans – they are often referred to as having 'low human quality', which explains why they are more likely to be manual workers and criminals."*

In theory, the *hukou* system and the migrant street vendors' lack of urban citizenship and its associated rights would seem to significantly negatively impact their access to livelihood assets in Beijing and increase their vulnerability by limiting migrants' access to low-income housing (physical capital), healthcare and social benefits like welfare (human capital), and certain types of jobs (financial capital).

Despite the fact that migrants are largely excluded from the mainstream housing distribution system (Zhu et al, 2014), commercial housing units are unaffordable, and subsidized public housing is exclusively offered to urban natives, all the migrant street vendors I interviewed had been able to rent an apartment or some sort of living arrangement. Housing conditions are not often ideal. For example, one 40-year-old woman selling electronic accessories said she shared a stuffy basement apartment unit with five other women near her workplace. There are no windows, ventilation is very poor, and the shared kitchen and bathroom are very dirty (Personal interview, June 12, 2015), which makes this arrangement somewhat of a health hazard. A man selling fruits said that he could not afford any accommodation in the city centre and found a room to rent near the fourth ring road. He must ride his bicycle cart 45-60 minutes to his main working location everyday, but still when asked if a Beijing *hukou* would be helpful to his living situation, he replied that it wouldn't.

In fact, almost all the street vendors I interviewed, all of which are migrants, claimed that they did not feel their *hukou* status had much of an impact on their lives at all.

> "*Not having a Beijing hukou doesn't really affect my life here. I have a place to live, food to eat, friends, and a job selling fruits that earns me more money than working on the farm or doing hard labour. If I get sick, I can go see the doctor and buy medicine. I don't know what would be different with a Beijing hukou … I don't think I would be able to get a better job ... I am not educated, that's the real issue. So, really, whether or not rural workers have Beijing hukous doesn't really matter.*"
>
> - Man, 46, Hubei (Fruits)

One aspect of the *hukou* system that was cited to impact the lives of the vendors most significantly is the fact that without a Beijing *hukou*, young children of migrant workers living with their parent(s) in the city must pay additional fees to attend public schools or be forced to enroll in poor quality private schools for children of migrant workers. These schools tend to be of significantly inferior quality in terms of infrastructure, facilities, and academics (see page 50). Moreover, the children are only entitled to 9 years of education in cities without an urban *hukou.* Once the nine years are completed, parents are forced to choose between sending their children back to their hometowns to live with their relatives and study at a local school while they continue to work in the city, move the entire family back to the hometown, or have their children stay in the city and drop out of school. Each of these three difficult choices has unfavorable consequences on the entire family and their livelihood outcomes: Separation of the family increases vulnerability of the children[2], leaving the city often results in fewer income earning opportunities for parents, and dropping out of school reduces human capital of migrant children – all of which contribute to a vicious cycle of poverty.

This is a situation that one of my interviewees, a 35-year-old Popsicle vendor from Shandong province, found himself in:

> *"We moved to Beijing three years ago because my elder daughter fell ill and the hospitals in Beijing are much better than those in my hometown. She eventually got well and my family decided to stay in Beijing so that I could work here for a while. I make much more here selling popsicles than I do on the farm back home,*

[2] There are presently around 60 million "left-behind children" across China, living in villages with relatives or alone while their parents work in cities (Ma, 2014). These children have been found to be more prone to dropping out of school, sexual abuse, drug abuse, obesity, suicide, and other harmful consequences of growing up with the support of parents.

and the work is less exhausting. My two children attend school here and my wife stays at home to look after them. We all like Beijing very much. But my elder daughter has finished middle school now and can no longer study in Beijing without a hukou, so my wife and I have decided that our family will move back to our hometown so that our daughter can continue her studies … I will work on the farm again … Of course I will earn less money there and education is not as good quality as in Beijing, but what other option do I have?"

- Man, 35, Shandong (Popsicles)

While they are institutionally marginalized without a Beijing *hukou*, one reason perhaps explaining why migrants themselves do not claim to feel the effects of their lack of urban citizenship on their livelihoods is that for many, because of the huge rural-urban disparity in China, quality of life for the vendors in the city is comparatively better than in their hometowns. As the 46-year-old vendor from Hubei claimed, even without a *hukou* he is able to secure basic necessities like shelter and food, and he can visit the doctor when needed, so he does not feel as if his lack of urban citizenship significantly hinders his life in the city, nor does it affect achieving his primary goal of increasing his financial capital. Most of the vendors claimed that life in Beijing, though difficult, offered much more opportunity for development in comparison to at home, which they appreciated. Finally, many vendors may not even be aware of some of the entitlements they could potentially have with a Beijing *hukou* as some informal conversations with vendors revealed they did not know what would be different at all in terms of their rights or access to services with an urban *hukou* (aside from the possible of education for children in the city).

2. Neoliberal, market-driven economy & the chengguan

Although it is still debatable whether China has fully embraced neoliberal orthodoxy, scholars like He and Wu (2009) compare its contemporary urbanism with that of neoliberal Western patterns of urbanization in many respects, namely the basic motivation for local economic growth and place-promotion, central city makeovers, as well as extensive involvement of the private sector. In line with Harvey's (2007) characterization of the principle of neoliberal cities that the state will repress some sectors of the population if there is a conflict between creating a good business climate and their personal well-being, they argue that the city has become the growth machine for China's economy through state-led urban development, with local governments playing leading roles (He et al., 2005).

Some scholars have shown that the suppression of street vending in Chinese cities (and other emerging cities around the world) has been driven by this neoliberal, market-oriented urban development, arguing that many municipalities adopt exclusionary policies for street vendors to create an attractive investment climate and secure urban order (see Xue et al, 2014). This negatively impacts the street vendors' ability to secure financial capital needed to improve their livelihoods by preventing them from operating their businesses. Almost all Chinese cities have Urban Management Authorities (*chengguan*) forces to manage street vendors in order to keep the city and city image clean.

The *chengguan* were cited by all the vendors I interviewed as being one of the most, if not the most significant influences on their work and ability to earn money (i.e., determined whether or not they would be able to sell or not, issuing fines/confiscating goods, etc.). One long-time vegetable vendor explained:

> *"The biggest challenge with my occupation is the chengguan. I always have to be on the lookout for them. If we start talking and I don't pay attention, they may come and I won't be able to escape quickly enough. It gives me a lot of anxiety, but it's part of the job.*
>
> *We are not bad people. We are just old ladies who want to make an honest living and they should just leave us alone. We are parked at the side of the road and not obstructing traffic. I must pay 30,000 RMB for my children's education every year so I have to find a way to earn money. I don't know why the government and the chengguan can't just let us be. I can't find any other jobs because no one will hire an old lady like me. And I like my work. I can provide vegetables to people cheaper than the supermarket and chat with my customers.*
>
> *Once the chengguan came on their motorbikes and started to chase me, so I started riding away on my bicycle cart. They followed me down one street and then took the scale from my cart so that I couldn't weigh my vegetables. I can't run my business if I can weigh vegetables. They told me if I wanted the scale back I could get it from their office, so I decided to just leave and buy a new one."*
>
> - Woman, 62, Henan (vegetables)

The use of *chengguan* forces may also have an impact on the psychological well-being of some of the vendors, many who told me they are in constant lookout for the officers and often feel very stressed and anxious while working. One of my key informants, 21-year-old Xiao Hong from Henan, told me on during our first meeting that his mom had just moved to Beijing and he

had helped her set up her own fruit car. A few weeks later when we met up again, he told me that he was in the process of finding her a new occupation because she could not handle the stress of encounters with the *chengguan.*

An explanation given by one vendor also supports the argument made by the scholars of the municipal government's neoliberal approach and desire to promote city images, and its subsequent impact on street vendors.

> *"The chengguan almost always come to clear the streets if there is a government meeting or important event taking place in Beijing. If I followed the news, I would know not to even try selling on those days, because I'm more likely to get a heavy fine or have my goods confiscated by the chengguan. But I don't have a TV and so I don't know when these meetings take place."*
>
> - - Woman, 42, Henan (cooked food)

The government's neoliberal development approach and use of *chengguan* forces whose main occupation is clearing streets of vendors limits their ability to increase their financial capital, and causes added stress and anxiety amongst vendors who must be on the look out throughout the day which has potentially adverse effects of their health.

3. The *Harmonious Society* Project

Despite its neoliberal development approach, however, there is also concern by the state regarding the maintenance of social and political stability. It is no secret that China's economic boom since its reform has taken place at the price of growing social inequalities, uneven regional development, and serious environmental degradation (Chen and He, 2008). Since the late 2000s, Chinese leaders have become increasingly aware that the growth-first strategy cannot be continued in the ways that disregarded social justice, particularly since it has the potential to cause social and political instability (Xue and Huang, 2014). A decision was made by the National People's Congress in 2006 to build a *Harmonious Society*, with the core objective of solving social injustices and maintaining political stability (ibid).

Some social policies have been recently adopted to address social inequalities. Scholars like Wu (2010) argue that China has not achieved the historical transition from having only economic policy to developing social policies. Thus, creating a harmonious society is more so an effort to better balance economic growth and social needs than indication of a new stage that gives

priority to social justice. He et al. (2009) argue that the harmonious society project is no more than an ideological device used to retain social stability for maintaining economic growth.

What does this imply for street vendors in Beijing? First, it means that the state will not take a completely exclusionary approach towards vendors. The government realizes the high importance of this occupation as a source of income for Beijing's *liudong renkou*, which total approximately 10 million according to the *chengguan* interviewed (Personal interview, June 15, 2015), as well as a source of affordable products and services for other low-income earning people living in the city. Thus, as the Beijing *chengguan* I interviewed explained,

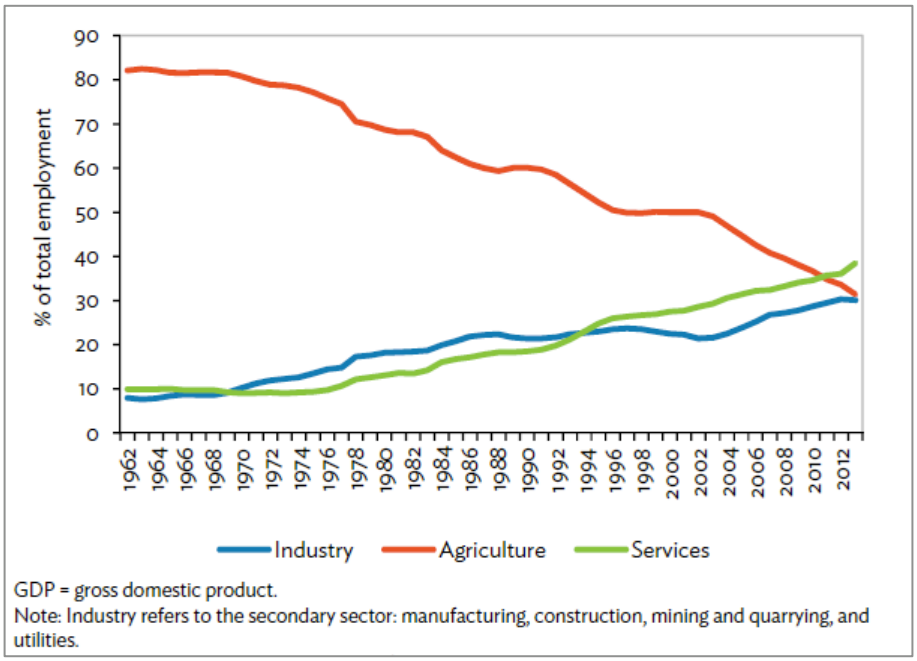
"Although we will are obliged to patrol the streets and have rules to follow in terms of managing the street vendors, we can be more lenient if they are not obstructing traffic, competing with rent-paying stores, operating near schools or hospitals, or breaking other obvious laws or regulations. The government understands the demand for their existence by a large section of the population." (ibid)

The Harmonious Society project may also lead to increased policies and initiative to reduce the blaring rural-urban disparity in China by improving development in rural areas and smaller towns. This may result in more opportunities for migrants in their hometowns and better livelihood conditions there, which decreases the push factor to leave their farms and work as street vendors and in other occupations in Beijing and other large cities. However, this is likely to be a lengthy process and meanwhile, it is more likely that the continuous urbanization and a declining agricultural sector, as discussed below, will have a larger influence on migrants and street vendors.

4. Decline of the agricultural sector and continuous urbanization

As China shifts from a largely agricultural society to one based on industry and services, agricultural jobs decline rapidly, as evident from Figure 6.1.

Figure 6.1: Sectoral Employment in China from 1962-2012



Source: Felipe, J. et al. (2014)

Many of the street vendors interviewed explained that they had moved to Beijing because of the lack of job opportunities at home.

> *"We used to have a large piece of land and grow several types of vegetables to sell. But now most of the land is left unattended. We grow enough vegetables for my family to eat, but that's all. My husband is at home taking care of our kids and I come to earn money here in the city as a cook in a restaurant and street vending in the evenings. There's no use for me to be at home. There's no work to be done there."*
>
> *- Woman, 40, Henan (Chaoyangmen)*

A declining agricultural sector and continuous urbanization means that more and more rural individuals and families are migrating to cities. This could imply more competition for existing vendors in terms of business, as the more migrants turn to street vending in Beijing as an avenue to earn money, but more importantly, competition for already limited resources and services, such as housing and school slots for children. Increased urbanization may also bring more customers and improve certain vendors' incomes because there will be an increasing number of poor people whom will rely on their low-cost products and services.

Employment-related questions were at the centre of the reform agenda approved by the 18th National Congress of the CCP in November 2013. In the spring of 2014, China's top economic planning body began preparing for the country's 13th Five-Year Plan (2016–2020), which will decide how to implement the ideas discussed in the 18th National Congress. There is consensus by officials that the PRC needs to find a way to continue achieving high growth rates to generate employment, particularly in order to absorb 240 million rural workers who have migrated to cities (Felipe, 2014). It will be interesting to see what policies will be derived as part of the 13th Five-Year Plan with increasing employment opportunities of agricultural workers as a focal point.

5. One-party governing system and prohibition of the formation of NGOs and organizations to speak out on behalf of migrant vendors

In China, local governments are more accountable to the Chinese central government than to the citizens because local politicians are directly appointed by the former rather than elected by the latter. Because of this political appointment system, the regulation of street vending in Beijing is very different from that in democratic developing countries, where policies are often contested, negotiated and fragmented due to the competition among different parties to which street vendors are affiliated (Huang, 2009).

Further, due to the restrictive regulation of civil society organizations in China, there is lack of organizational power that enables street vendors to collectively speak up against adverse policies imposed on them. Whereas in many other countries, street vendor organizations speak out for vendor legal rights and help negotiate with the State, the majority of vendors in China are not aware of present municipal laws on street vending, their legal rights, may face unjust treatment by the Urban Management Authorities, and do not have support from an organization to educate them on regulations or stand up for them in instances of injustice.

Luckily, in recent years, abuse of street vendors have garnered increasing media attention across China and by international organizations like Human Rights Watch, which published a report entitled "Beat Him, Take Everything Away" about *chengguan* unjust overexertion of force on street vendors in China (2012). This report includes a number of personal accounts by vendors who have suffered harsh beatings by *chengguan* forces and stories of a few vendors who have been murdered by the officers.

With the increased use of online social media, there are an increasing number of netizens standing up for street vendors, such as by writing about injustices towards the migrants striving

to make a living in cities and posting videos of *chengguan* violence towards vendors. Growing use and availability of online social media is helpful to garner support for these individuals against persecution, particularly in the absence of NGOs and formal organizations to speak out on their behalf.

6. Education Policy and Schools for Migrant Children

Many migrant parents must make a choice between leaving their children to be raised by relatives in their hometowns or bring them along to the cities in which they work. Children left behind in rural villages is an issue in need of dire attention across China. At the same time, more and more parents are making the decision to migrate with their children and raise them in cities (Lai et al, 2014). In 2008, an estimated 20 million migrant children were living with their parents in urban China (ibid). The education of these migrant children has become one of the greatest challenges faced by the Chinese education system. As discussed earlier, the present *hukou* system forces migrant parents with children in the city to decide between sending their children back to their home villages to continue their studies or raise them in the city after nine years of education under the Compulsory Education Law. In addition to the *hukou* system of urban citizenship, specific education policy also impacts migrant children's access to (quality) education.

In 2006, the central government announced that it would provide the funding needed to finally implement the Compulsory Education Law of 1986, which mandated free and compulsory nine-year education for all children across the country (Lai et al., 2014). Nevertheless, this free education is only guaranteed for children whose *hukou* matches the school's location (Sa, 2004 cited in Lai, 2014); and children without local *hukous* can only enroll in urban public schools if there is available space and if they are able and willing to pay high tuition and school fees ("Educational Challenges–Education for Migrant Children", nd). Many public schools with available space find ways to circumvent the *free* education aspect of this law, and create additional costs and fees (such as an *education compensation payment* and *school selection fee*) to raise the total cost of education as a means of purposely making the school unaffordable and inaccessible to low-income earning migrant families.

Many parents, unable to enroll their children in urban public schools, must resort to sending their children to privately run, oftentimes-unlicensed migrant schools. In Beijing, it is estimated that 70% of migrant children attend private schools (Lai et al, 2014).

Presently, a number of private schools for migrant children are located in dilapidated buildings that do not adhere to basic safety standards; they often have unlicensed teachers with high turnover rates, as well as poor quality of desks, chairs, sanitation, heating, ventilation systems, and other facilities ("Educational Challenges–Education for Migrant Children", nd). The poor infrastructure, facilities, and teaching standards are reflected in the students' academic performance, which generally falls far behind that of local students, as well as in comparatively lower attendance and higher dropout rates (ibid). One study found that low quality of school resources and teachers in migrant schools has diminished the academic progress of the migrant students and that the longer a student stays in Beijing migrant schools, the poorer his or her academic performance becomes (Lai et al., 2014).

While I did not specifically ask all the vendors with children what type of school their children attended, one fruit vendor with four young sons all living in Beijing explained in an interview that he had three sons attending primary school in Beijing. All were enrolled in an unlicensed school for migrant children, and even though he thought that the teaching quality was mediocre, he explained that sending even one of his children to a public school would be unaffordable for his family. Still, he claimed, "migrant schools are better than the schools in [his] hometown." (Personal Interview, June 16, 2015).

Education policies in China have a significant impact on the livelihoods of street vendor families in Beijing. Better access to quality education implies increased human capital for the migrant children, which in turn can result in higher financial capital and improved livelihoods for the entire family. Improved and more stringently enforced education policies that enable migrant children to access good quality education in the city, coupled with reforms to the *hukou* system to allow migrant children to continue studies in the city after 9 years, can contribute to improved livelihoods and a family's escape from a vicious cycle of poverty.

7 Street vendor livelihood strategies

7.1 Street Vendor Livelihood Strategies

Livelihood strategies are planned activities that individuals and households pursue to build their livelihoods, often designed to build asset bases and access to goods and services for consumption. These include both coping strategies designed to respond to short-term shocks, as well as adaptive strategies designed to improve circumstances in the long term. Livelihood strategies are determined by the assets and opportunities available to men and women.

Some authors have written about different methods used by street vendors in China to exert their 'right to the city' to improve their livelihoods. The interviews completed for this study, as well as personal observations, have confirmed the assertions made by these authors and have also revealed additional strategies used by street vendors in Beijing to sustain and improve their livelihoods. Most of the livelihood strategies discussed in this paper are directly related to the street vending occupation since that is what the majority of my research focused on.

Livelihood strategies related to the street vending occupation

"Quiet encroachment" and taking over public space

Scholars like Asef Bayat (2000) have explored nuanced forms of resistance to structural constraints by subordinated individuals in ways other than political and social movements. He specifically distinguishes the political and collective actions mobilized by street vending organizations, as well as individual and small-scale activism in different contexts. Bayat identifies a form of resistance as "quiet encroachment", which involves the atomized, proactive and prolonged winning of position by people living and/or working informally in order to survive, improve their lives, or gain some autonomy from state regulations and control. In this way, their activities challenge "many fundamental aspects of the state prerogatives, including the meaning of order, control of public space, of public and private goods and the relevance of modernity" (Bayat, 2000, p.546).

Quiet encroachment is practiced by street vendors in Beijing, who despite being frequently controlled by the *chengguan*, continue to operate their businesses throughout the city.

> *"They come almost daily, but because I've been selling here for a few years now, the Chengguan don't really bother me anymore. They all know me, and some of the others who've been vending here for a long time. When they come, we just leave and that's that. We will all come back in a short while or the next day. But if new people set up their business here, the Chengguan will chase them away or make them pay a fine."*
>
> *- Key informant, Woman, 67, Henan, selling hair accessories at Sanyuanqiao*

Street vendors have in a sense become a part of the cityscape in many areas as a result of their proactive and prolonged existence of public areas. Some local citizens have become dependent on them for low cost groceries and products, particularly in areas with few stores in the vicinity, and even the State and the *chengguan* understand this, and generally have a higher tolerance for street vendors selling in areas with few nearby stores and nearby living places with high concentration of migrant workers, such as by urban villages (*chengzhongcun*). This "quiet encroachment" is an important livelihood strategy in creating a place for street vendors in Beijing in spite of the unwelcoming stance by the government towards them so that they can continue to operate their businesses and make a living.

Standing up to the Chengguan

Despite the generally peaceful "quiet encroachment" approach taken by the street vendors, there are instances when they come into verbal and even physical conflict with the *chengguan.* While only one of the street vendors I personally interviewed had gotten into physical conflict with a *chengguan*, almost all said they had verbally attempted to fight for their right to make a living when controlled. Standing up to the *chengguan* can be considered a form of exerting rights to the city and to a livelihood. Swider (2014) asserts that migrant street vendors' lack of status in the city without a local *hukou* means that they cannot make use of established sanctioned claims-making avenues such as the courts, legal aid centers, and visits to local officials. Thus, their struggles to sell on the street and make a living must happen outside sanctioned channels. This takes the form of direct verbal and physical clashes with the *chengguan*, and increasingly riots and organized street protests."

Some vendors in Beijing and other cities across China have been brutally beaten by the Urban Management officers and a few even murdered (HRW, 2012). These instances have gained a lot of media attention, increased support by citizens and international civil society, and have led to new policies enacted in order to limit the powers available to *chengguan* (HRW, 2012). While this is not necessarily a livelihood strategy used by the street vendors, the increased support and media attention also contribute to improved outcomes for the vendors.

Building relations with the chengguan

Fighting the *chengguan* may not also be the best solution, however; and some of the vendors who have been in their business for a longer time, rather than getting into conflict with the Urban Management Authorities, have been able to strategically develop affable relations with the officials that patrol their neighbourhood in order to reduce hostile confrontations, fines, and having their products confiscated.

The following story about an experience I encountered during an interview with one of my key informants, Xiao Hong, illustrates how befriending or at least building good relations with the enemy *chengguan* can be considered a livelihood strategy for street vendors, whose ability to build financial capital are largely affected by the urban management officers.

At around 10:00pm on June 15, 2015, I found Xiao Hong selling in his usual spot, this evening beside his older cousin (a friendly man in his mid-40s) who had the largest fruit cart I have seen since arriving in Beijing. When I greeted the two men, Xiao Hong told me that he had been caught by some plain-clothes chengguan about half an hour earlier. They took away his bike cart and all his fruits, and he would have to pay a fine in order to retrieve it. I asked how much the fine would be and he said normally it would be somewhere between 500 and 1500 RMB, but since his cousin had built some connections with a few chengguan in this area, he could probably get away with paying a lower amount. He said he would head over to the office to retrieve his bike at 10:30pm. I asked I could join him to see what it was like at the chengguan's office and he said it wouldn't be a problem so long as I kept on the down low.

His cousin rode off on with his fruits to continue selling for a while longer and would meet me and Xiao Hong at the Urban Management Authority Office in half an hour's time. Xiao Hong and I slowly walked to office and along the way, Xiao Hong warned three other fruit vendors in his Henan dialect that the chengguan, disguised as regular citizens, had taken his cart and that they too should watch out. As we approached the Urban Management Office, instead of entering through the front door of the building, Xiao Hong led me through a dimly lit alleyway where I could see a few chengguan vehicles parked, as well as his cousin waiting with his fruit cart, speaking to a man in his 30s dressed in a plain black t-shirt, shorts, and slippers. "This is the back entrance to the Office," Xiao Hong explained. The man speaking with his cousin was an off-duty chengguan. I was told to wait outside while the man led Xiao Hong and his cousin through the back gate. A few minutes later, all three approached with Xiao Hong and his bike, half-sliced watermelons still sitting on the back cart. His cousin thanked the chengguan and rode off to continue selling, while I accompanied Xiao Hong back to Wangfujing, where he hoped to make up some of the 300 RMB he was fined.

Figure 7.1: Back gate of Urban Management Authority Office

Photo taken by author, waiting beside Xiao Hong's cousin's fruit cart while Xiao Hong and his cousin negotiate with the off-duty *chengguan* to retrieve Xiao Hong's confiscated fruit cart during field research (June 15, 2015)

Not surprisingly, I had several questions for Xiao Hong. He explained that since his cousin has been street vending for many years and has been caught by the chengguan so many times, he has been able to build good relations (guanxi) with some officers. Nowadays, whenever family and good friends of his cousin land a fine or have products confiscated, he can contact of his chengguan friends and help retrieve the confiscated goods for a lower price through after-hour, backdoor deals. The price paid is arbitrary, but usually in the vicinity of 200-300 RMB. "That's one of the benefits of having good relations with the chengguan," Xiao Hong told me, "But it's still really annoying to be caught and fined in the first place." (Personal interview, June 15, 2015).

Not many of the vendors I interviewed had such kind of relations with the *chengguan*. For most, especially relatively new vendors, have no choice but to flee when they see officers coming and pay fines in full if caught. Those who have a friend or relative who has *guanxi* with the Urban Management Officers, certainly have an advantage and are able to increase their financial capital more easily.

Developing business sense: Knowing where and when to sell

Many of the street vendors, particularly those who have been in the business for a long time, seem to have developed good knowledge as to what products to sell (based on seasonality, market trends, profitability, etc.); as well as where and when to operate their business in order to maximize customer flow and secure return customers while avoiding conflicts with other vendors, storeowners, and the *chengguan*

One vendor explained that he sells his fruits most of the day outside a large mall frequented by Russian tourists but moves his cart to an underpass crossing Beijing's 2nd ring road in the central business district every weekday around 4:30pm. He explained that he had several customers who bought fruits from him almost every day on their way home from work, and in order to maintain his return customers, he would move to the spot in the underpass even if business in his original location were very good that day.

The vendors have also developed a sense of where and when to sell so as to maximize their profit without coming into conflict with other street vendors. For instance, as I exited Sanyuanqiao subway station one Sunday afternoon, a place I passed by quite frequently, there was only one woman selling cooked food, rather than eight or nine vendors who normally sell there. When I asked where all the other vendors were that day, the woman said that the Tibetan community set up their stalls there from Monday to Saturday and do not allow any vendors of Han ethnicity to operate their businesses. If any Han Chinese vendors attempt to sell cooked food there alongside the Tibetans, they will be forcefully shooed away. Thus, in order to avoid conflict with the other vendors, she (an ethnic Han) sets up her food cart further down the road during the week, and only sells outside the subway station – the best location in the area for vending, according to the vendor – on Sundays.

In addition to avoiding conflicts with other vendors, my key informant, Xiao Hong, also explained the importance of knowing when and where to sell to best avoid control by the *chengguan.* For instance, several vendors set up their stalls about a kilometer away from the Wangfujing Pedestrian Street during the day, but many will move towards the busy area as soon as the

clock strikes 10:00pm and the *chengguan* are officially off duty. The vendors also know to stay away from stores selling similar products to avoid conflicts with storeowners, who sometimes will call the *chengguan* on them. One grocery store owner explained:

> *"[Fruit vendors] usually know not to sell in front of fruit stores like ours to avoid problems, at least the ones who have been selling around here longer. If they do come, we tell them to go and they usually listen to avoid problems…sometimes they return a little while later though … they know we might call the chengguan to come chase them away or take their goods, so they usually just listen if we tell them to leave."* (Personal Interview, June 18, 2015)

The knowledge gained about where and when to operate their businesses, mainly acquired through experience, but also through help and advice of fellow vendors, is key to maximizing the amount of money made and minimizing conflicts associated with the job.

Forging networks of mutual support – based on ethnicity, friendship, location of vending

Joining networks of mutual support (thereby increasing social capital) in the city is of utmost importance as a livelihood strategy for street vendors. Many of these networks are based on family ties, ethnicity, or coming from the same hometown/province. For example, as Xiao Hong, one of my key informants asserted about vendors around the Wangfujing area:

> *"All the vendors you see selling fruits in this area are from Henan province. We all know one another and will help each other out … like warn each other when we see the chengguan coming."*
>
> – Xiao Hong, 21, Henan (Fruits)

Vendors have also built networks of support based on location of vending. For instance, one of my key informants explained about the vendors inside the Sanyuanqiao subway underpass:

> *"All the vendors selling in this underpass have been here for a long time. We all know one another and will sometimes help each other… for instance, if one vendor needs change to give a customer, another will lend it to him/her, or if someone needs a friend to watch his/her stall when they need to go to the bathroom or buy lunch."*
>
> –Key informant, 67, Henan (Hair Accessories)

Mutual support and building a network of contacts, whether of other vendors or individuals in Beijing, can also serve to decrease feelings of social exclusion and marginalization in a new city like Beijing, where migrants may face some language barriers and/or are unfamiliar with urban life, and be advantageous in helping connect individuals with job opportunities and other resources.

As mentioned earlier, not all the street vendors claimed to have friends or people they can turn to for help in the city. Those individuals did have the support of relatives in their hometown, such as parents to look after their children, which is also an important asset. Nevertheless, without social networks in the city, a key livelihood asset, they must rely much more heavily on other assets and strategies in order to achieve positive livelihood outcomes. It may also be that the individuals did not have any friends or family in the city at the time of the interview, but had some connections earlier in time whom helped them set up their business and get established in the city (this was not specifically asked in the interviews).

Knowing where to obtain products to sell

Aside from knowing what, where, and when to sell is knowing how and where to obtain products to sell. The specifics of this business strategy was not delved into too deeply during my field research, except for finding that 18 of the 25 vendors purchase their goods from wholesale suppliers in the city (the others make their own goods or obtain them from friends or relatives). Learning about where the wholesale suppliers are located and how to obtain these products is largely facilitated by having connections in the city who have had experience street vending, highlighting the importance of networks and social capital, particularly in the initial stages of becoming involved in this occupation.

Diversifying income sources

Another strategy used to decrease vulnerability is the diversifying of income sources. Street vending, like any informal employment, is dependent on various factors, including the severity of government regulation, weather, and customer flow and demand amongst other things. Solely relying on street vending as a source of household income or just selling one item increases an individual and family's vulnerability. Eight of the 25 vendors interviewed said they personally had other sources of income aside from street vending. Their other jobs included working as a cook in a restaurant, maid in a hotel, and sales person in a store, amongst others. Some married

couples would also have one more relatively steady salary source of income (such as in one of the occupations described above) while the other pursued street vending. Or, in some cases, one partner would work on the family farm in the couple's hometown while the other came to work in Beijing. Diversifying income sources is very important as a means of reducing vulnerability due to the uncertainty and instability of income generation through street vending.

8 Street vendor livelihood outcomes

8.1 Livelihood Outcomes

Livelihood outcomes are the achievements derived from livelihood strategies. These results feed back into both the vulnerability context and asset bases, with successful strategies leading to virtuous cycles of asset building and improvement of wellbeing, as opposed to poor livelihood outcomes which may deplete asset bases and thereby lead to vicious cycle of increasing vulnerability.

Increased financial capital and independence

The most significant improvement to vendor livelihoods is change in income. When asked to compare their present income from street vending to previous employment, all the vendors said they earned more money by street vending in Beijing than they would if they remained in rural China. Most of the respondents who were previously employed as labourers in the city (either in construction, as cooks, or in other service jobs) said they earned approximately the same amount through vending as they had through hard labour, but they chose to sell on the streets because it gave them much more freedom and was less strenuous in comparison.

Increased incomes have also trickled back to families living in rural China as well, as many of the street vendors with families in their home villages said they frequently sent remittances back to the rural households. Although I did not ask specifically as to how the remittances are used, generally, increased incomes can enable investments in education, training, and physical capital (improving homes, sanitation, purchasing basic necessities, etc), amongst other things that can significantly improve livelihoods.

Investment in new businesses

Some street vendors who have been able to earn and save a significant amount have even been able to invest in new businesses, such as in the case of Mr. Wang, one my key informants described below. His is an example of an arguably successful livelihood outcome achieved by a migrant street vendor in Beijing.

"I had poor grades at school and didn't want to continue studying, so I moved to Beijing 10 years ago. I started as kitchen help in a hotel, worked in that position for 2 years, then became a cook there. I worked at the hotel restaurant for 4 years, but I didn't really like the job. It was tiring and the salary was low. My brother in law was selling fruits as a street vendor at the time and was making more money than I was, so I quit my job at the hotel and he helped me get started as a fruit vendor.

Selling fruits was extremely tiring work. My wife and I would go to the fruit wholesalers at 4:00am in the morning each day to pick up our supply, then start selling once the sun came out. We'd sell until lunch, one of us would take a rest, and then the other. We'd work until late at night… sometimes until midnight. It was lucrative though! We'd earn anywhere between 600-2000RMB/day and during Spring Festival, when people need to bring fruits to family and friends, once we made a record 8000RMB in one day! We did this business for 5 years. We've had two children since (now aged 5 and 2) who are being looked after by my parents back home. I miss them a lot and know this situation is not good for their development, but it's impossible to work all day and look after two children as well.

We had out fruit business for 5 years and then saved enough to buy a Volkswagen. Working as a fruit vendor was too exhausting and so now I work as an Uber driver and my wife has found other employment. Together, we make approximately the same amount of money as we did selling fruits, but it's much less tiring.

I'll continue to work in Beijing so long as there is work here for me and my wife. We can make much more money here than back in our small hometown. Perhaps one day we can move the kids here as well."

This story illustrates the significance of social capital (networks) and human capital (hard work) in affecting positive livelihood outcomes. It also shows how making use of the livelihood strategy of having young children taken care of by parents (as many are in China) is essential to working-aged parents to increase financial capital to improve the family's livelihood. This example also illustrates how street vending can be a temporary but profitable informal employment, which can enable investments into physical capital such as a car, and lead to better (as determined by individuals) jobs in the future.

Another illustration of business expansion thanks to increased income and access to social capital is that of a Tibetan couple with only primary school education, who first started selling handmade jewelry outside the Sanyuanqiao subway when they migrated to Beijing in 2011. After earning and saving some money and with the help of close friends, they were able to purchase a food cart and sell cooked food as well. This has allowed them to earn even more money, which they send back to their hometown.

Better opportunity for education for children

Another livelihood outcome observed is that of many street vendors placing a high value on educating their children. Despite the challenges with the *hukou* system in terms of education of children in the cities mentioned earlier, based on the conversations with street vendors with children, almost all of them highly valued formal education and made it a priority to send their children to school. One vendor interviewed said if it were not for paying for his son's high school tuition fees, he would have retired to the farm already. Many vendors with grownup children said that their children had attained a higher level of schooling than they had, and those with young children all had hopes that their children would achieve a high level of education, with post-secondary as the target. None of the vendors I interviewed wanted their children to go into the street vending business in the future as well.

The importance that many street vendors place on education of their children and the fact that with increased income levels, some are able to send their children to help pay for high school and even post-secondary school tuition, are signs of increasing human capital needed to break the vicious cycle of poverty for the households. This can also be considered an intergenerational strategy, as raising better-educated children also implies potential for a better old age for the parents. However, reformed policies to the educational system that make good quality education more accessible to migrant children would allow this livelihood strategy to even more successful result in successful livelihood outcomes for the families.

Decreased feelings of social exclusion and marginalization

Through forging networks with other vendors and migrants, and building small communities of friends, street vendors are able to diminish the level of exclusion and marginalization they feel in a new city, despite their lack of official 'urban citizenship' in the form of a *hukou*. This increased social capital can serve to reduce vulnerability through having people to support the vendors in case of financial or other trouble, share information about new employment or housing opportunities, but also psychologically by reducing emotional stress, anxiety, and loneliness.

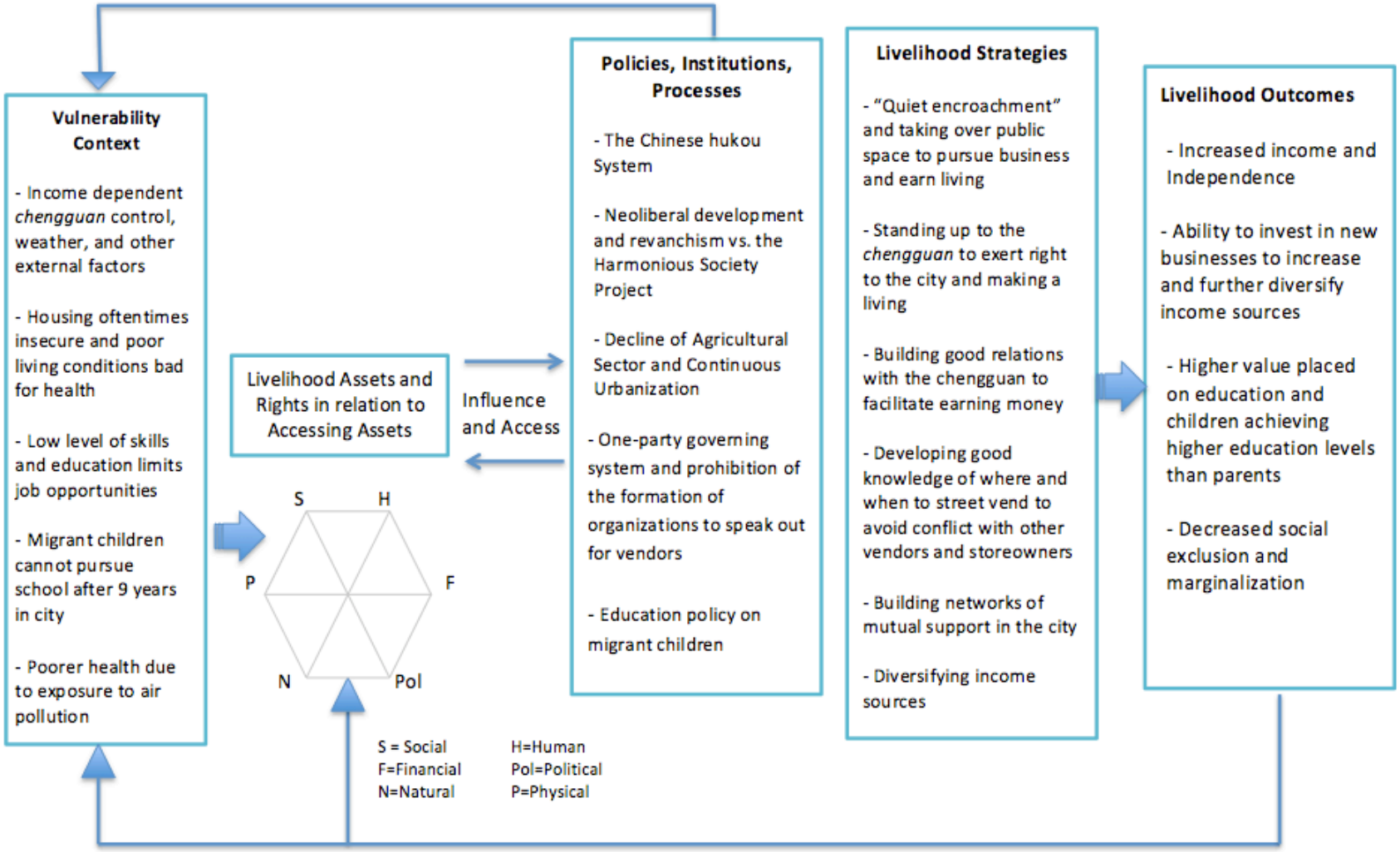
9 Summary of Findings and Concluding Remarks

9.1 Sustainable Livelihoods Approach applied to street vendors in Beijing

Street vendors are certainly not a homogenous group of people and this study made it evident that there are various types of individuals that earn money selling products and/or services on the streets of Beijing. It would thus be wrong to make sweeping generalizations about how street vendors as a group are affected by PIPs, the strategies they use to improve their livelihoods, and their livelihood outcomes. However, based on the research conducted, there do seem to be certain commonalities as to how many vendors are affected by present-day policies, institutions, and process, as well as strategies they employ to improve their livelihoods. These are presented Figure 9.1 on the following page.

This thesis has attempted to collect and present some common experiences, challenges, and successes of street vendors in Beijing told from street vendors themselves in order to better comprehend their livelihoods. Understanding the needs and struggles of poor people told by poor people is a key element of the Sustainable Livelihoods Approach, and needed as a "means of correcting the inevitable biases introduced by outsiders deciding what [is] the best for the [them]." (Schafer, 2002, p.22)

Figure 9.1: Sustainable Livelihoods Approach Analysis of Street Vendors in Beijing

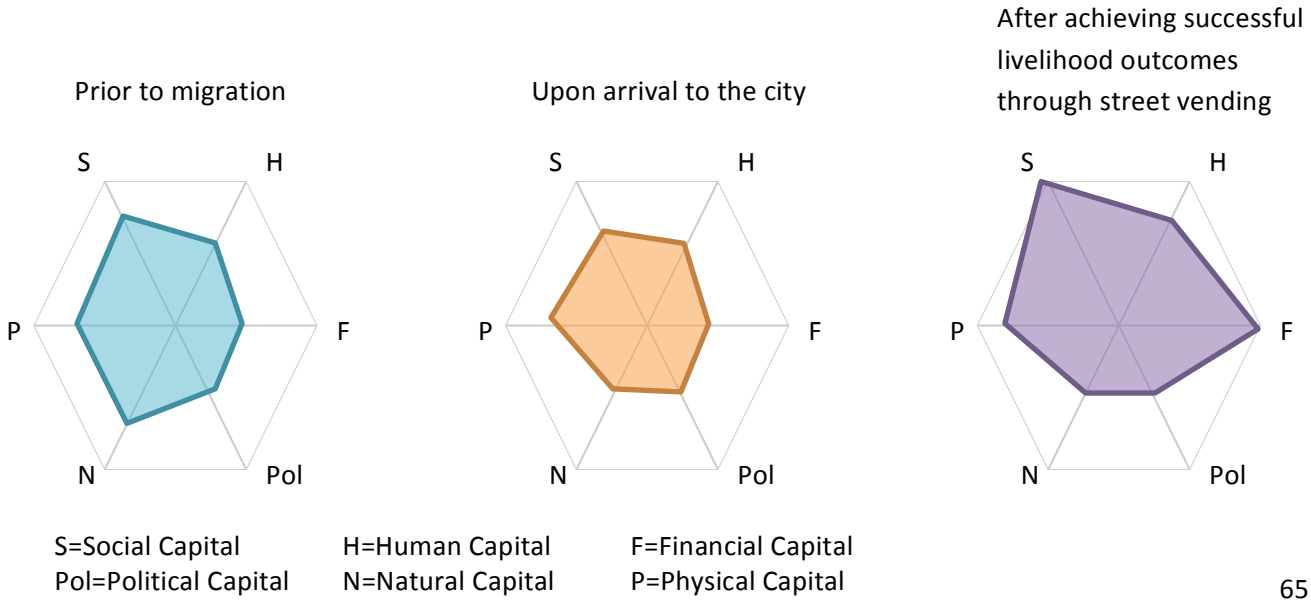


The SLA analysis of street vendors in Beijing summarizes some of the PIPs that affect their livelihoods assets, strategies they use (predominantly related to their occupation and increasing financial capital) to improve their livelihoods, and outcomes that arise as a result. While there are certainly several other elements related to the street vendors' livelihoods not included in this SLA analysis, the ones discussed in this research are some that stood out as being most significant or relevant during the limited time spent in the field and written about in other scholarly work.

The SLA illustrates how PIPs and street vendors' rights to access livelihood assets can lead to vicious cycles of increased vulnerability and poverty or virtuous cycles of positive livelihood outcomes. Access to livelihood assets, and particularly human and financial capital in the case of the subjects of study, are essential to achieving improved and more sustainable livelihoods. Deriving specific strategies is also necessary to overcome the challenges presented to vendors because of PIPs that limit the rights of the vendors from accessing livelihood assets needed to overcome poverty.

Below are distorted hexagons to show a comparison of the livelihood assets of vendors' general changes in assets before migration, upon arrival to Beijing, and after achieving successful livelihood outcomes through street vending. These visualizations are based on my personal understanding of the situation through fieldwork and research. It is important to remember that asset endowments are constantly changing and thus the asset pentagon (or hexagon if political capital is included) in the SLA is constantly shifting with the dimension of time.

Figure 9.2: Distorted hexagons showing changes in livelihood assets



The most significant changes to livelihood assets for street vendors who have just arrived in the city and those who have achieved successful livelihood outcomes through street vending are increases in social, human, and financial capital. Social networks and financial assets are significantly expanded, and human capital also increases, but has potential to grow further with better opportunities for education and skills development for the street vendors and their children. Physical capital may also increase through investments (such as purchasing a new vending carts, vehicle or upgrading living facilities); however, it is limited in its expansion by the *hukou* system and inability for migrants to access more permanent housing. Political capital remains relatively low even after achieving successful livelihood outcomes through street vending for reasons described in Chapter 6.

This research has shown that there are many different types of street vendors in Beijing. While many share commonalities – namely that they come from poor rural households and were drawn to Beijing to improve their livelihoods, particularly through earning more money – each vendor's level of vulnerability differs (based on individual characteristics and circumstances) and has different livelihood assets (e.g., different levels of education, financial capital, social network and connections, etc). Thus, the SLA can only paint a general picture of their livelihoods. Nevertheless, this analysis is still important in helping to understand the experiences, opportunities, and challenges that street vendors face, as told by the vendors themselves; a necessary prerequisite to deriving any policies or initiatives aimed at improving their wellbeing and promoting greater overall social sustainability of the city.

9.2 Lessons learned and recommendations

Perhaps one of the principal ideas that my research revealed is the minimal importance that not having a Beijing *hukou* plays in the livelihoods of street vendors. Many authors have cited the *hukou* as a dominant barrier to urban citizenship and rights to the city very important to achieving a better life. This is true in principal. However, according to almost all the street vendors interviewed, the *hukou* is in fact not very significant to their lives. Rather, their lack of education, skills, and qualification were cited as their main obstacle to achieving better jobs that would earn them higher incomes and therefore improved livelihoods.

This suggests that street vending and other informal employment will continue to be important avenues of income generation for the urban poor in China, not necessarily because they are marginalized and disadvantaged without an urban *hukou*, but because they do not have the chance to obtain education and skills needed to obtain other jobs. Without adequate knowledge

and training early on, the latter will be the greater barrier to landing more stable, oftentimes better paying jobs needed to significantly improve their livelihoods.

It is a positive sign that many of the street vendors' children are obtaining or projected to obtain higher levels of education than their parents, which implies potential for them to improve their job prospects and break the vicious cycle of poverty in the future. It would be beneficial if the migrant children could continue pursuing education in the city after nine years to avoid having to return to their hometowns or drop out of school, as currently obliged by current State policy, so that the children of migrants who grow up in the cities have a higher chance of staying in school. This is perhaps the one area in which the *hukou* system does significantly affect the street vendors not only in Beijing but in other large Chinese cities as well.

It is further important that the Compulsory Education Law (discussed in Chapter 6) be adhered to and/or other policies created and followed in order for education to be made accessible to a growing population of migrant children in cities. Exorbitant fees charged by public schools to hinder migrants should also be restricted, and more funding should be directed to private schools to help maintain a certain degree of quality of education for migrant children. Improved education policies that enable migrant children to obtain better quality education would help to increase the human capital of the children and their families, decreasing the overall vulnerability of the families and improving livelihood outcomes. The street vendors with children seem to place a high value on educating their children – what they need is improvements to the quality of education provided to rural families and migrants in cities, and changes in policy that will allow their children to study for a longer period of time in the city. This would enable street vendor and other migrant families to increase the human capital of the future generation that can help lift the family out of poverty.

Furthermore, the government has a chance to turn the issue of street vendors into an opportunity for the city. Currently vendors are regarded as an eyesore, dirty and a disturbance to urban traffic. Thus, the State has adopted an exclusionary attitude towards the vendors, with the aim of keeping the city image as clean as possible as a part of their neoliberal model of development. However, street vending in Beijing should be seen as a resource rather than a problem. It provides employment and livelihoods to hundreds of thousands of individuals and families, and low-cost products to the urban poor. Street vending will continue to be a prevalent form of employment in cities like Beijing, and it is imperative for the local government to find better solutions to managing this activity, shifting from a generally hostile one, which increases the vulnerability of poor street vendors, to one which promotes greater socially sustainability.

Some cities around the world have embraced street vendors and found ways to include them in the cityscape and be a part of the place's living heritage (see Cavusoglu et al., 2014 for examples from Istanbul, Turkey and the United Cities and Local Governments policy document, 2010 for examples from Surakarta, Indonesia). These examples demonstrate that authors like Huang et al. (2013) have reason to argue that informality should be considered a creation of the state. Hence, by adopting stronger legal and institutional frameworks, and promoting effective implementation of existing laws and policies, a multitude of individuals working within the informal economy could be brought under the protection of the law. This would be a step in the direction of improved working conditions and overall livelihood outcomes.

Providing low-to-no cost licensing to all vendors who complete a training session on municipal regulations, laws, and sanitation to sell in designated places at certain times could be an option for Beijing. Educating street vendors about city regulations and sanitation is a simple way to reduce some of the predominant issues that city's face in regards to street vending ruining the clean image of the city. The municipality of Harbin in China's Heilongjiang province, in an effort to overcome the issue of unaffordable street vending licenses, has decided not to fine illegal street vendors who are laid-off workings, disabled or elderly people, students, and the very poor (China Daily, 2009e). This is also a possibility for Beijing to consider.

As China continues on its path of city-based economic development and the rural-urban gap remains, rural peasants will likely continue to migrate to cities like Beijing in search for work and opportunities to earn money and improve their livelihoods. Many will turn to street vending. However, as the examples above show, there are opportunities for the State to manage street vending in a way that both benefit the cities and the migrant vendors who are simply looking to improve their livelihoods.

9.3 Subjects for further research

This is a qualitative study aimed at understanding the livelihoods of street vendors in Beijing through the SLA approach. Only 25 vendors were interviewed as part of this study due to limited time and resources. It would be very interesting to expand this study to a larger number of vendors across the city in order to obtain a more representative sample of the individuals that pursue this occupation. A large, representative sample could allow for quantitative analysis and determine how certain characteristics or assets of street vendors are correlated to their level of vulnerability, income, and livelihood outcomes for instance. This might be especially useful in

developing certain policies or programs targeted at certain street vendors (e.g., the most vulnerable) in the future.

It would have also been interesting to compare the street vendors' livelihoods before and after migration in greater depth in order to better understand how their livelihood assets and outcomes have changed since migrating to the city. This was also not undertaken in this particular study due to time and resource restrictions.

9.4 Concluding remarks

An analysis of street vendors in Beijing using the SLA has illuminated several challenges that not only street vendors, but also hundreds of thousands of other rural migrants, most of them informally employed, face in large Chinese cities today. The majority of the vendors interviewed for this study have come from extremely trying circumstances. Although some continue to struggle to sustain themselves and their families' livelihoods in Beijing, there are many examples of successes and achievements amongst the vendors who have developed their limited livelihood assets and employed various strategies to improve their lives, even in the context of unfavourable policies, institutions, and processes that affect them.

The government can certainly help to improve their circumstances, first and foremost by deciding to regard street vending as an opportunity for employment, a source to help meet the demands of the urban poor, and even for place making. The State will, of course, need to readjust current policies that negatively impact rural migrants in cities and develop new practical and sustainable ones to meet their objectives. In doing so, they can significantly help improve the livelihoods of the many rural migrants that turn to street vending and other informal jobs and create a more socially sustainable city overall.

Bibliography

Bayat, A (2000). “From ‘dangerous classes’ to ‘quiet rebels’: Politics of the urban subaltern in the Global South”. *International Sociology* 15(3), 533–557.

Beijing Government (2013). “北京市2013年国民经济和社会发展统计公报”.Beijing Statistical Information Net. Accessed July 18, 2015 from http://www.bjstats.gov.cn/xwgb/tjgb/ndgb/201402/t20140213_267744.htm

Beijing Government (2014). “北京市2014年国民经济和社会发展统计公报”. Beijing Statistical Information Net. Accessed on July 16, 2015 from http://www.bjstats.gov.cn/xwgb/tjgb/ndgb/201502/t20150211_288370.htm

Beijing Statistics Bureau (2004). “A Survey on Floating Population in Beijing in 2003”. Accessed July 6, 2011 from http://www.bjstats.gov.cn, cited in Xue, D. and Huang, G. (2015) “Informality and the state’s ambivalence in the regulation of street vending in transforming Guangzhou, China”. *Geoforum* 62, 156-165.

Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

Castells, M. and Portes, A. (1989). “World Underneath: The origins, dynamics, and effects of the informal economy.” In Portes, A., Castells, M., and Benton, L. (Eds). *The informal economy: Studies in advanced and less developed countries.* Baltimore: Johns Hopkins Press.

Cavusoglu, E. and Strutz J. (2014) “One person holdings - tactics of Istanbul’s street vendors” in Koçak, D. and Koçak, O. (eds.), Whose City is That? Culture, Art, Spectacle and Capital in Istanbul, Cambridge Scholars Publishing.

Chambers, R, and Conway, G.R. (1991) Sustainable Rural Livelihoods: Practical Concepts for the 21st Century. Institute of Development Studies.

Chan, K. and Zhang, L. (1999). “The hukou system and rural-urban migration in China: Processes and changes”. *China Quarterly* 160, 818–848 in Swider (2014).

China Daily. 2009b. “For More Life and Livelihood on the Roads.” August 19. China Daily. NewsBank, in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

China Daily. 2009c. “Selling Some Hope to Vendors.” September 8. China Daily. NewsBank, in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

China Daily. 2009e. “Illegal Peddlers Receive Schmooze Treatment.” July 17. China Daily. NewsBank, in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

China Daily. 2010. “City Bylaw Enforcers Lack Teeth.” July 29. China Daily. NewsBank, in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

CIA (2015). The World Factbook: China. Accessed online on June 28, 2015 from https://www.cia.gov/library/publications/the-world-factbook/geos/ch.html

DeWalt, K. & DeWalt, B. (2002). Participant observation: a guide for fieldworkers. Walnut Creek, CA: AltaMira Press in Kawulich, B. (2005) Participant Observation as a Data Collection Method. *Qualitative Social Research*, 6(2). Accessed from http://www.qualitative-research.net/index.php/fqs/article/view/466/996#g6

DFID (1999) “Sustainable Livelihoods Guidance Sheet”. Accessed online from http://www.eldis.org/vfile/upload/1/document/0901/section2.pdf

DFID (2000) “Sustainable Livelihoods Guidance Sheets”. Department for International Development. Accessed July 17, 2015 from http://www.livelihoods.org/info/info_guidancesheets.html

Donovan, M. (2008) “Informal cities and the contestation of public spaces: The case of Bogota’s street vendors, 1988-2003. *Urban Studies.* 45(1), pp. 29-51.

“Educational Challenges – Education for Migrant Children”. (n.d) Stanford University Rural Education Action Program (REAP). Accessed on August 20, 2015 from http://reap.fsi.stanford.edu/docs/educational_challenges__education_for_migrant_children

Farrington, J., Ramasut, T, and Walker, J. (2002) Sustainable Livelihoods Approach in Urban Areas: General Lessons, with Illustrations from Indian Cases. Swedish International Development Agency.

Felipe, J. et al. (2014). “The Declining Share of Agricultural Employment in the People’s Republic of China: How Fast?” *ADB Economics Working Papers* No. 419. Accessed online from www.adb.org/sites/default/files/publication/149676/ewp-419.pdf

Geertz, C. (1963). *Peddlers and Princes: Social Development and Economic Change in Two Indonesian Towns.* Chicago: The University of Chicago Press.

Golley, J and Meng, X (2011). “Has China run out of surplus labour?” *China Economic Review*, 22, 555-572.

Hu, J. & Yao, W. (2008). **“**我国转型期非正规就业与非正规经济**”.***学术月刊*40(11), 147–154 in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

Huang, P. (2009). “China’s Neglected Informal Economy”. Modern China 35(4), 405-438.

Huang, G., Xue, D., & Li, Z. (2013) “From Revanchism to Ambivalence: The Changing Politics of Street Vending in Guangzhou.” Anitpode, 170-189.

Huitfeldt, H. and Jütting, J. (2009) “Informality and Informal Employment.” *Promoting Pro-Poor Growth: Employment.* OECD.

Human Rights Watch. (2012) “Beat Him, Take Everything Away: Abuse by China’s Chengguan ParaPolice”.

International Labour Organization (ILO) (2013) “Measuring informality: a statistical manual on the informal sector and informal employment.” Accessed from http://www.ilo.org/wcmsp5/groups/public/dgreports/stat/documents/publication/wcms_222979.pdf.

International Labour Organization (ILO) (2002). *Decent Work and the Informal Economy*. ILO Publication, Geneva in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

Kawulich, B. (2005) Participant Observation as a Data Collection Method. *Qualitative Social Research*, 6(2). Accessed from http://www.qualitative-research.net/index.php/fqs/article/view/466/996#g6

Kitchin, R. and Tate, N. (2000) *Conducting Research into Human Geography: Theory, Methodology and Practice*. New York: Pretence Hall.

Lai, F. et al. (2014) “The education of China’s migrant children: The missing link in China’s education system”. *International Journal of Educational Development,* 15.

Liu, S (2007). “Social citizenship in China: Continuity and change”. *Citizenship Studies* 11, 465-797.

Ma, A. (2014) “China Raises a Generation of Left Behind Children” CNN News Online. Accessed June 5, 2015 from www.cnn.com/2014/02/04/world/asia/china-children-left-behind

Moser, C. (2005) Assets, Livelihoods, and Social Policy. World Bank Conference Paper for *New Frontiers of Development in a Globalizing World.*

Moser, C. (1996) Confronting crisis: A comparative study of household responses to poverty and vulnerability in four urban communities. Washington DC: ESD.

Moser, C. (1978). “Informal Sector or Petty Commodity Production: Dualism or Dependence in Urban Development?” World Development 6 (9–10): 1041–1064 in Bell, J. & Loukaitou-Sideris, A. (2014) “Sidewalk Informality: An Examination of Street Vending Regulation in China.” *International Planning Studies*, 19:3-4, 221-243.

National Statistics Bureau (1991, 2011). China Statistics Yearbook 1991, 2011. China Statistics Press, Beijing in Xue, D. and Huang, G. (2015) “Informality and the state’s ambivalence in the regulation of street vending in transforming Guangzhou, China”. *Geoforum* 62.

Pan, J., and Wei, H. (2010). *Annual Report on Urban Development of China.* Beijing: Academic Press of Social Sciences.

Porter, L. (2011). “Informality, the commons and the paradoxes for planning: concepts and debates for informality and planning.” *Planning Theory Practice*, 12 (1), 115–120.

Potter, R. and Lloyd-Evans, S. (1998) The city in the developing world. UK: Longman cited in Farrington, J., Ramasut, T, and Walker, J. (2002) Sustainable Livelihoods Approach in Urban Areas: General Lessons, with Illustrations from Indian Cases. Swedish International Development Agency.

Sa, Z. (2004). A case study of rural–urban migrant children's education barriers in China American Sociological Association Annual Meeting, San Francisco, CA (2004) cited in Lai, F. et al. (2014) "The education of China's migrant children: The missing link in China's education system". *International Journal of Educational Development,* 15.

Schensul, S., Schensul, J. & LeCompte, M. (1999). *Essential ethnographic methods: observations, interviews, and questionnaires (Book 2 in Ethnographer's Toolkit)*. Walnut Creek, CA: AltaMira Press in Kawulich, B. (2005) Participant Observation as a Data Collection Method. *Forum Qualitative Sozialforschung / Forum: Qualitative Social Research*, 6(2).

Schilderman, T. (2001) Some thoughts on shelter, poverty and livelihoods. Nairobi Urban Poverty Partnership Project, Intermediate Technology Development Group, East Africa cited in Farrington, J., Ramasut, T, and Walker, J. (2002) Sustainable Livelihoods Approach in Urban Areas: General Lessons, with Illustrations from Indian Cases. Swedish International Development Agency.

Schneider, F. (2002) "Size and Measurement of the Informal Economy in 110 Countries Around the World." Workshop of Australian National Tax Centre, ANU, Canberra, Australia .

Sen, A.(1999) *Development as freedom*. Oxford University Press: Oxford cited in Moser, C. (2005) Assets, Livelihoods, and Social Policy. World Bank Conference Paper for *New Frontiers of Development in a Globalizing World.*

Solinger, D. (2013) "Streets as Suspect: State Skepticism and the Current Losers in Urban China". *Critical Asian Sutdies* 45(1), 3-26.

Swider, S. (2014). "Reshaping China's Urban Citizenship: Street Vendors, Chengguan and Struggles over the Right to the City". *Critical Sociology,* 1-16.

UNDP (1997) Human development report. Oxford: Oxford University Press.

United Cities and Local Governments. "Surakarta, Indonesia: Empowering the Informal Sector: Street Vendor Management". *Inclusive Cities Observatory* policy document. Accessed from http://www.uclg-cisdp.org/sites/default/files/Surakarta_2010_en_final.pdf

Wratten, E. (1995) 'Conceptualising urban poverty' in Environment and Urbanisation 7(1). London: International Institute for the Environment and Development cited in Farrington, J., Ramasut, T, and Walker, J. (2002) Sustainable Livelihoods Approach in Urban Areas: General Lessons, with Illustrations from Indian Cases. Swedish International Development Agency.

Xue, D. and Huang, G. (2015) "Informality and the state's ambivalence in the regulation of street vending in transforming Guangzhou, China". *Geoforum* 62, 156-165.

Yao, K. (May 27, 2013) "China's migrant worker pay growth nearly halved in 2012". Reuters News Online. Accessed from http://www.reuters.com/article/2013/05/27/us-china-economy-migrants-idUSBRE94Q03A20130527

Zhu Y., Fu, Q. and Ren, Q. (2014) "Cross-city variations in housing outcomes in post-reform China: an analysis of 2005 micro-census data", *Chinese Sociological Review* 46(3), 26-54.